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Beyond Price: How Swedish Steel and Foundry SMEs Perceive Value, Risk and Relationship Quality When Selecting Suppliers

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AUTHORS: Karam Houshan, Tijn Johannes Edmond Junior van Staalduinen

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Authors:	Karam Houshan/Tijn Johannes Edmond Junior van Staalduinen
Tutor:	Professor Karin Hellerstedt, PhD
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Abstract

Background - Swedish steel and foundry SMEs operate at the intersection of a far-reaching sustainability transition, tightening regulation (e.g. BAT 2028), volatile geopolitics, and a steadily consolidating supplier base. Yet, B2B relationship marketing, value-based selling (VBS), and organizational buying behavior (OBB) research has almost exclusively foregrounded supplier-side practices and large buying organizations. How smaller industrial buyers actually perceive and prioritize value and risk when selecting suppliers therefore remains insufficiently understood.

Purpose - This study explores how Swedish SMEs in the steel and foundry industry perceive and prioritize value and risk when selecting and evaluating their suppliers. It develops a theory-informed conceptual framework that integrates VBS, the commitment-trust perspective, and perceived-risk literature from a buyer-focused SME viewpoint, and contributes both to academic debates on industrial buying and to practical supplier-side strategy.

Method - A qualitative, exploratory, theory-informed inductive design was employed. Eight semi-structured interviews were conducted with owners, managers, and purchasing decision-makers across eight Swedish steel and foundry SMEs (ranging from 1-249 employees and spanning iron foundries, model tooling, marine molds, steel powder, foundry trading, and

metal processing). Data were analyzed using Braun and Clarke's (2006) thematic analysis nested within Gioia et al.'s (2013) inductive coding logic, yielding four aggregate dimensions, sixteen second-order themes and one hundred thirty-eight first-order codes.

Conclusion - Swedish steel and foundry SMEs perceive value primarily as operational continuity and relational trust: delivery security and process-fit quality are non-negotiables, technical service and responsiveness create relational glue, and price functions only as a tiebreaker between functionally equivalent suppliers. Sustainability is welcomed as a co-benefit but rejected as a stand-alone premium, a stance labelled "pragmatic sustainability". Risk is perceived asymmetrically and multilayered, with geopolitical and regulatory pressures emerging as first-order decision parameters rather than background variables. Trust and commitment are built through two distinct mechanisms (everyday responsiveness and accumulated tenure), are operationally thickened by routines such as consignment inventory and framework agreements, and are deeply embedded in informal SME networks. The study consolidates these findings in a revised conceptual framework that visualizes the supplier selection outcome and its interplay.

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Table of Contents

Abbreviations *8*

1 Introduction *9*

1.1 Background of the topic **9**

1.2 Problematization **11**

1.3 Purpose **13**

1.4 Research question **14**

1.5 Research Approach **14**

2 Literature Review *16*

2.1 B2B Relationship Management **16**

2.2 The Commitment-Trust Perspective **17**

2.3 Value-Based Selling **19**

2.4 Perceived Risk, Opportunism and Relationship Breakdown **21**

2.5 SME Customers in B2B Context **23**

2.6 Organizational Buying Behavior of SMEs **24**

2.7 Research Gaps **26**

2.8 Synthesis and preliminary conceptual framework **27**

2.8.1 Synthesis of the theoretical perspectives 27

2.8.2 Preliminary conceptual framework and link to research design 28

3 Methodology *31*

3.1 Research philosophy **31**

3.2 Research approach and design **32**

3.3 Research context **33**

3.4 Sampling strategy and case/participant selection **34**

3.5 Data collection methods **37**

3.5.1 Semi-structured SME interviews 37

3.5.2 Supplementary data 38

3.6 Interview guide and operationalization **38**

3.7 Data analysis strategy **41**

3.8 Research quality **43**

3.9 Research ethics **44**

4 Empirical findings *45*

4.1 Value-based selling and value drivers 49
4.1.1 Supply continuity and delivery security 49
4.1.2 Quality and process fit as a non-negotiable 50
4.1.3 Cost discipline and total value calculation 51
4.1.4 Service support and technical problem-solving 52
4.1.5 Pragmatic sustainability as a conditional value 52
4.2 Relationship quality 55
4.2.1 Trust through responsiveness, accessibility and fairness 55
4.2.2 Trust through experience, familiarity and competence 55
4.2.3 Commitment through collaborative routines 56
4.2.4 Network embedded and informal SME buying behavior 57
4.3 Perceived risk 59
4.3.1 Performance and production risk 59
4.3.2 Supplier dependency and switching risk 59
4.3.3 Market, financial and geopolitical risks 60
4.3.4 Risk mitigation through safeguards and redundancy 61
4.3.5 Sustainability and compliance risk 61
4.4 Supplier selection outcome 63
4.4.1 Depth of commitment to incumbent suppliers 63
4.4.2 Conditional willingness to pay a premium 64
4.4.3 Switching readiness under bounded conditions 64
5 Analysis 66
5.1 Revisiting the preliminary framework 66
5.2 Lapierre integrated with Commitment-Trust-Risk as an extended lens 66
5.3 How findings map onto value drivers 67
5.4 Trust, commitment and mechanisms of relationship quality 68
5.5 Perceived risk and geopolitical-regulatory layer 69
5.6 Engaging with Negative and Disconfirming Cases 70
5.6.1 Trust does not always reduce perceived risk 70
5.6.2 A clearly valued driver does not predict purchase 70
5.6.3 Trust did not lock in the buyer 71
5.7 Connecting the Empirical Findings 72
5.7.1 The revised conceptual framework 72
5.7.2 Value Drivers' Importance 74
6 Conclusion 76
7 Discussion 78
7.1 Theoretical contribution 78
7.2 Practical implications 80

7.3 Limitations **80**
7.4 Suggestions for further research **82**
Bibliography ***83***
Appendix ***91***
Appendix 1 – Interview Questions Guide **91**
Appendix 2 – GDPR Consent Form **96**
Appendix 3 – Declaration **99**

Abbreviations

B2B – Business to Business

BAT – Best Available Techniques (e.g. the BAT 2028 emissions threshold)

GDPR – General Data Protection Regulation

OBB – Organizational Buying Behavior

SME – Small and Medium-sized Enterprise

THE COMPANY/The partner company/the company – The Nordic steel- and foundry-trading partner company at the center of this study. The actual business name has been replaced by "THE COMPANY", "the partner company" and "the company" throughout the thesis under a mutually agreed anonymity arrangement (see Section 3.9 Research ethics).

VBS – Value-Based Selling

1 Introduction

This chapter introduces the thesis topic of Small and Medium-sized Enterprise (SME) and their role in the Swedish steel and foundry markets. It outlines the broader business-to-business (B2B) relationship marketing context, defines SMEs and their role in Sweden, presents the characteristics of the Swedish steel and foundry industry, and introduces a Nordic steel and trading company as the partner company. The chapter then develops the problematization, states the purpose and research questions, and presents the chosen research approach.

1.1 Background of the topic

The starting point for this thesis is a Nordic steel and foundry trading company that has built long-term relationships with several large industrial customers in the Nordic and Central European markets, but has had limited insight into the needs and expectations of Swedish SME buyers. While the company is seeking to expand its presence in the Swedish market by targeting SME buyers, the managers report uncertainty about which value drivers, service elements, and relationship practices actually matter for SME customers, and how these customers perceive the risks associated with different suppliers. This practical uncertainty becomes more pressing as the Swedish steel and foundry industry is undergoing a sustainability transition, with rising demands for reliability, technical support, and other aspects such as traceability in supplier relationships (Fossilfritt Sverige, 2022; Jernkontoret, 2023, 2026).

The Swedish steel and foundry industry plays a significant role in the national economy, contributing significantly to exports, employment, and regional development (Jernkontoret, 2023, 2026). At the same time, the industry is investing heavily in low carbon technologies, such as electric arc furnaces and hydrogen-based production, in order to meet ambitious climate targets (Fossilfritt Sverige, 2022; Hybritdevelopment, 2024). These changes can increase the strategic importance of proper supplier selection, since poor choices can lead not only to higher prices or quality problems, but also to production disruptions and to difficulties in meeting the sustainability and traceability requirements (Johansson & Söderström, 2011; Rohdin et al., 2007). Within this context, Swedish SMEs function as crucial intermediaries between large producers and end markets, but often operate with limited financial and human resources,

making them particularly dependent on suppliers that can combine competitive prices with reliable technical support, and regulatory compliance (Erim Karimov & Abrahamsson, 2019; Net Zero Industry, n.d.).

Amongst these developments, Business to business (B2B) relationship marketing and value-based selling research have emphasized that competitive advantage increasingly depends on suppliers' ability to build trust-based, long-term relationships and to articulate value beyond price alone (Grönroos, 1994; Lapierre, 2000; Morgan & Hunt, 1994; Terho et al., 2012; Töytäri & Rajala, 2015).

Lapierre (2000) found that business clients evaluate suppliers based on a variety of characteristics, such as product quality, delivery dependability, service support, flexibility, and relational elements like solidarity and trust, demonstrating that the choice goes further than only pricing (Lapierre, 2000).

Anderson and Johannisson (2022) conducted a qualitative study on eight SMEs in the Swedish steel and foundry industry, focusing on the value drivers that drive these SMEs when considering relationships with their suppliers (Anderson & Johannisson, 2022). They found that the SME customers valued reliability, product quality, responsiveness, as well as reducing their own time and energy expenditure in working with suppliers (Anderson & Johannisson, 2022).

Anderson's and Johannisson's study provided a valuable empirical baseline which we can take into consideration in our study. However, it is worth noting that Anderson and Johannisson (2022) explicitly mentioned several boundaries within their study. Their study's approach relied on Lapierre's (2000) value driver framework, which they stated requires contextual adjustment when applied to industrial markets. Ultimately, their findings only touch upon the initial relationship building phase of value-based-selling, leaving other potentially important factors (e.g. commitment, trust, and perceived risk) unexplored (Anderson & Johannisson, 2022; Lapierre, 2000).

1.2 Problematization

According to research in business to business (B2B) relationship marketing and key account management, actions such as establishing trust-based, long-term relationships with strategically important clients are seen as crucial for securing competitive advantage (Grönroos, 1994; Morgan & Hunt, 1994). However, most of this work has either concentrated on supplier-side practices including value-based selling skills, customer relationship management systems, and key account management, or on large buying organizations (Terho et al., 2012; Töytäri & Rajala, 2015). We further observed this by assessing two more recent studies, Bekata and Kero's (2024) and Stancu et al.'s (2020) studies, which have also found that SMEs increasingly depend on certain value propositions, such as customer experience and affordability, to both innovate, as well as manage sustainability pressures and technological advancements. Yet, both studies still tend to analyze these aspects from the supplier side rather than from the SME buyers' points of view (Bekata & Kero, 2024; Stancu et al., 2020). As a result, there has been relatively less systematic attention paid to the perspective of SME clients as industrial buyers, especially in conventional, process-based businesses.

Furthermore, Wind and Webster Jr. (1972) offer a conceptual model that helps understand organizational buying behavior, showing how businesses set up their decision-making units, assessment standards, and purchase procedures (Webster Jr. & Wind, 1972). However, Wind and Webster Jr.'s (1972) model has also focused on larger organizations with formalized procurement functions, leaving aside the constraints unique to SMEs, such as limited resources and informal procurement, such as assessing industrial suppliers under time, information, and resource constraints, just as in the earlier-discussed studies from Grönroos (1994) and Morgan and Hunt (1994) (Grönroos, 1994; Morgan & Hunt, 1994; Webster Jr. & Wind, 1972). Therefore, it is important to study SMEs and larger organizations separately. It is well documented that SMEs have unique characteristics that differentiate them from conventional large organizations (Carson, 1990).

A study conducted by Gilmore et al. (2001) on SME marketing and relationships suggests that personal ties, trust, informality, and responsiveness play a strong role in SME-supplier interactions (Gilmore et al., 2001). Unlike the studies by Grönroos (1994), Morgan and Hunt (1994), and Wind and Webster Jr. (1972), Gilmore et al. (2001) focus specifically on SMEs (Gilmore et al., 2001).

Building on the uniqueness of SME characteristics discussed by Carson (1990), Goffee and Scase (2015) provide further detail on what specifically are the differentiating characteristics of SMEs, emphasizing that the characteristics may be determined by the owner/manager of the SME, and that they may be determined by the current development stage of the business (Goffee & Scase, 2015). Gilmore et al. (2001) have summarized these characteristics to the following factors: Limited resources (e.g. time, marketing, knowledge, and finance), lack of specialists, or expertise in specific areas of the business (e.g. owners tend to carry out many different processes and decisions, making them more like generalists), and limited impact in the market (Gilmore et al., 2001). Furthermore, given that owners/managers make most decisions by themselves, SME marketing becomes informal, creating an environment where decision-making may become a bit chaotic (Gilmore et al., 2001; Goffee & Scase, 2015).

This gap becomes more apparent when looking at the Swedish steel and foundry industry. This industry's transformation is driven by sustainability investments, technological upgrading, and intensified global competition (Fossilfritt Sverige, 2022; Jernkontoret, 2026). Even though major steel producers and suppliers have been extensively researched as exporters and innovation actors, less is known about the downstream network of, for example, SME manufacturers, fabricators, and workshops that rely on dependable access to steel and foundry inputs. For instance, in the report from The European Commission, Joint Research Centre (2025), the overall significance of SMEs when it comes to employment and value creation in Sweden is well documented. However, such reports barely discuss how SMEs view and assess various supplier types when making daily sourcing decisions (European Commission, n.d.-b; European Commission, Joint Research Centre, 2025).

From a practical point of view, our partner company seeks to expand their presence in the Swedish market by targeting SME customers in the steel and foundry industry. Our initial discussion with the company indicated that, while the company does have long-term relationships with large customers in Finland, Sweden, and other countries, it has limited insight into the expectations, value drivers, and perceived risks of Swedish SMEs, and therefore faces uncertainty in configuring its sales and relationship management strategies for this specific target customer. Recent studies on SME supply chain risk found that smaller firms face distinctive risks within operations, finances, and relations, and that their survival increasingly depends on how effectively buyer-supplier relationships are configured to manage these exposures (Kanyepe et al., 2025; Karmaker et al., 2023). Ultimately, without a proper

understanding of the SMEs' perceptions, there are risks of things such as misaligned value propositions, and poor sales efforts.

If these gaps remain unaddressed, the academic and practical understandings of SME buyers' perceptions and expectations in this market will remain incomplete. As a result, relationship marketing and value-based selling theories will continue to rest primarily on evidence from large buying organizations, leaving it unclear how SME decision-makers actually interpret trust, value, and risk when they make sourcing decisions under time and resource constraints (Carson, 1990; Gilmore et al., 2001; Morgan & Hunt, 1994; Webster Jr. & Wind, 1972). Practically, for suppliers, including our partner company, the absence of these insights from SME buyers could increase the risk of misaligned value propositions, inappropriate sales priorities, and poorly configured relationship strategies in a context where for instance, production disruptions, delivery delays, or failed sustainability compliance can have substantial consequences for smaller firms (Fossilfritt Sverige, 2022; Jernkontoret, 2026; Kanyepe et al., 2025; Karmaker et al., 2023).

1.3 Purpose

The overall purpose of this thesis is to **explore how Swedish SME customers in the steel and foundry industry perceive, evaluate, and select their suppliers**, with specific focus on their value drivers, expectations, and perceived risks in supplier relationships. By adopting the SME customer perspective as the primary analytical lens, the study aims to contribute to B2B relationship marketing, organizational buying behavior, and value-based selling literature in industrial contexts (Morgan & Hunt, 1994; Webster Jr. & Wind, 1972).

With this thesis, we aim to contribute to the scarce body of academic literature by identifying the key value drivers, expectations and perceived risks influencing how Swedish SMEs evaluate steel and foundry suppliers. We will do this by integrating relationship marketing, organizational buying behavior, and value-based selling into a conceptual framework tailored to the SMEs.

More specifically, this thesis offers an original contribution by focusing on SME buyers in a heavy industrial context which has often been examined from the perspective of large buying organizations or suppliers. In addition, the study does not only examine which value perceptions, relationship qualities, and perceived risks are apparent among SMEs, but also

explores the importance of these factors and how they interact. Ultimately, we aim to develop a theory-informed conceptual framework that can both enrich academic discussions on SME buyer-supplier relationships and provide guidance for the company's strategic development in the Swedish market.

1.4 Research question

The study's main research question that we aim to answer is as follows:

How do Swedish SMEs in the steel and foundry industry perceive and prioritize value and risk when selecting and evaluating suppliers?

1.5 Research Approach

Our research approach with this thesis is qualitative, exploratory, and inductive, embedded in a qualitative, exploratory interview study. The main unit of analysis is how Swedish SME customers perceive and evaluate suppliers in the steel and foundry industry, while our partner company serves as the provider of industry insights, SME contact information, and important industry players. Rather than testing a predetermined theoretical model, we aim to build an understanding of how SMEs perceive factors like risk and value, and how they choose and evaluate suppliers. A qualitative approach is well suited for exploring such areas (i.e. how actors make sense of their experiences) and for developing rich and nuanced understandings in an under-researched area (Patton, 2015; Willig et al., 2017).

Assuming that organizational realities like "value", "risk," or "relationship quality" are not fixed entities but rather are created by the interpretations and interactions of actors in particular contexts, the study takes an ontological stance that is relativist/constructivist (Easterby-Smith et al., 2021). In terms of epistemology, the thesis takes a pragmatic and interpretivist approach: knowledge is created by analyzing how SME decision-makers and supplier representatives interpret their relationships and practices, and the analysis also seeks to yield insights that are practically helpful for the partner company. Together, this relativist-constructivist ontology and interpretivist-pragmatic epistemology align with a theory-informed inductive design, where the idea is to build a contextualized understanding of how SMEs perceive value and risk in supplier

relationships, while at the same time producing insights that are useful for practitioners in the industry (Easterby-Smith et al., 2021; Patton, 2015; Saunders et al., 2023; Willig et al., 2017).

The empirical design is a qualitative exploratory interview study. We collect data through semi-structured interviews with owners, managers and other decision-makers within Swedish SMEs that purchase steel and foundry materials and products. The reason for semi-structured interviews is to allow us to introduce core topics while still giving participants freedom to emphasize what they themselves find important (Patton, 2015). A purposive sampling strategy is used to select information-rich cases, aiming for variation in company size within SME criteria limits. Access to the SMEs is facilitated through the partner company, as discussed earlier.

Interviews with the participants are recorded and then transcribed verbatim and analyzed using an inductive thematic analysis method following Braun and Clarke's (2006) guidelines, nested within Gioia et al.'s (2013) inductive coding logic. Concretely, we move iteratively through familiarization with the data, generating initial codes, constructing and reviewing candidate themes, and refining and naming themes, while organizing the analysis into first-order concepts that stay close to informants' wording, second-order themes that connect these concepts to theoretical ideas, and aggregate dimensions that reflect broader constructs in our framework (Braun & Clarke, 2006; Gioia et al., 2013). The coding is conducted in a data-driven manner, hence the inductive approach: we develop codes and themes from patterns observed in the interview material rather than from a predetermined coding frame.

The literature review in chapter 2, together with the preliminary framework, serve as a sensitizing background rather than a fixed template. They inform the development of broad interview topics and help motivate the research gap, but they do not determine the final codes, themes, or relationships identified in the analysis. Later, in the discussion chapter, the themes that emerge from the data are compared to the concepts presented in the literature review (i.e. relationship marketing, OBB, value-based selling, and perceived risk), where the preliminary framework presented in the literature review is revisited and refined in light of the empirically grounded Gioia data structure (Easterby-Smith et al., 2021; Patton, 2015; Willig et al., 2017).

2 Literature Review

This chapter is dedicated to the collection of our literature search, the introduction and discussion of the relevant literature available today about the thesis topic.

2.1 B2B Relationship Management

Business-to-business (B2B) markets consist of transactions between organizations, rather than between businesses and individual customers. Higher transaction values, more intricate technical requirements, and drawn-out decision-making processes involving several organizational actors are common characteristics of business-to-business (B2B) exchanges as opposed to consumer markets (Webster Jr. & Wind, 1972; Abuhantash et al., 2018). Relationship management is crucial in these situations since suppliers must oversee continuous communications with customers' engineering, production, and purchasing departments in addition to delivering goods.

According to research on relationship marketing, lasting, cooperative connections with important clients can produce greater value for both sides and serve as a steady source of competitive advantage (Grönroos, 1994; Morgan & Hunt, 1994). According to Morgan and Hunt (1994), the commitment-trust theory of relationship marketing, which will be further discussed below, views trust and commitment as important mediating factors that promote long-term relational exchange, foster collaboration, and decrease uncertainty (Morgan & Hunt, 1994). In markets that are characterized by high asset specificity, technical interdependence, and costly switching, relational governance becomes a benefit for customer involvement and is therefore an especially important factor (Li et al., 2015). Furthermore, Ford et al. (2011) further-emphasize the importance of value co-creation, interaction episodes, and long-term partnerships as essential components of industrial market success (Ford et al., 2011).

More recent empirical research also argues that trust and commitment remain central to B2B relationship performance, but embeds them in broader constellations of dependence, problem-solving and relational investments. For instance, a qualitative study was done on Portuguese firms, focusing on international B2B commerce, which showed that dependence, relation-

specific investments and joint problem-solving significantly increased trust and commitment, which in turn predicted satisfaction and business outcomes (Pires & Branco, 2025). Given these studies, classical relationship marketing concepts still seem to explain relationship success, but they operate together with additional structural factors such as independence and joint problem-solving behavior.

Recent studies on smaller firms and SMEs highlight that contemporary B2B relationships are shaped by both personal interaction and digital communication tools. For instance, a case study on Finnish high-tech industrial microenterprises during the COVID-19 pandemic shows that firms relied heavily on digital tools such as online meeting platforms, remote demonstrations, and such to maintain customer relationships, but still faced major obstacles in developing trust with new international customers, given the absence of physical meetings (Arslan et al., 2022). Also, relationship marketing research in SME contexts further indicates that communication and perceived relational benefits foster significant trust, relational commitment and customer loyalty among SME customers, highlighting the continued importance of interpersonal ties and long-term relational positioning (Handriana, 2016).

Together, these studies suggest that the quality of the relational bond between firms is central for understanding how B2B relationships evolve and perform over time. Building on this, the following section turns to commitment-trust, which comprises trust and commitment as key mediating mechanisms in relationship marketing.

2.2 The Commitment-Trust Perspective

Building on the discussion of B2B relationship management, the commitment-trust perspective offers a more specific framework for understanding how long-term and cooperative relationships develop between companies and how they are maintained over time.

Researchers have positioned the commitment trust theory of relationship marketing as a central framework for understanding the long-term, cooperative relation between companies (Morgan & Hunt, 1994). This perspective shows the commitment and trust in a relation as important mediating variables that determine the stability and quality of the buyer-seller relationship. High levels of trust and commitment reduce the appeal of short-term opportunistic alternatives and therefore lower the uncertainty in business relationships (Morgan & Hunt, 1994; Paparoidamis et al., 2019).

Morgan and Hunt (1994) define trust as a party's confidence in another's reliability, competence and honesty. Commitment refers the desire of a company to maintain and preserve a valued relationship over time (Doney & Cannon, 1997; Morgan & Hunt, 1994). When companies experience a high level of trust and commitment, they invest in relation specific assets and share sensitive information while coordinating activities more closely with their partners. This cooperative behavior improves the performance of the relation and strengthens the long-term loyalty (Morgan & Hunt, 1994; Paparoidamis et al., 2019).

Researchers have operationalized the commitment-trust model so that trust and commitment mediate the effects of different precursors, thereby reducing outcomes like functional conflict and the likelihood of exiting the relationship (Morgan & Hunt, 1994; Paparoidamis et al., 2019). In an empirical test with retailers in the tire industry, Morgan and Hunt (1994) show that models that contain commitment and trust as mediators show more variance in the relationship outcomes than models that leave these constructs out. These findings confirm the central role of trust and commitment in relationship marketing (Morgan & Hunt, 1994).

Doney and Cannon (1997) expand this logic by identifying different cognitive processes through which industrial buyers develop trust in a supplier and their salesperson. They show that buyers build trust in the partners who behave reliably (prediction), possess necessary skills (capability) and will act fair (intentionality). These processes are strengthened when suppliers show a strong reputation, are willing to make relation-specific investments and communicate openly and frequently with each other (Doney & Cannon, 1997). At the same time, companies develop a stronger commitment when they perceive tangible benefits of the relationship, see high costs of terminating it and perceive alignment of the partner's values (Doney & Cannon, 1997; Morgan & Hunt, 1994).

Empirical studies in B2B and international business context show that trust and commitment are predictors of high cooperation, low conflict intensity and reduce the readiness to end the relationship (Morgan & Hunt, 1994; Friman et al., 2002). Researchers show that in B2B services, trust enables partners to share confidential information and coordinate activities outside of formal contracts, which improves continuity and relationship (Paparoidamis et al., 2019; Vargo et al., 2020).

A more recent study argued on the completeness of the original commitment trust model, and therefore the causal order between trust and commitment. Paparoidamis et al. (2019) researched the relation between trust and commitment using multiple datasets, including the

original Morgan and Hunt (1994) sample. They confirm that trust in general improves commitment, because companies rather invest resources in partners that they view as honest and reliable. However, their analysis also shows that under certain circumstances, a higher commitment can weaken the trust, suggesting a more complex and maybe even a bidirectional dynamic, in contrast to the original unidirectional model assumes. (Paparoidamis et al., 2019).

So, what we see now is that researchers continue to treat the commitment-trust perspective as a dominant theoretical framework in relationship marketing, because it offers a compact yet powerful explanation on how the relationship between the companies develops and perform over time (Morgan & Hunt, 1994; Paparoidamis et al., 2019). For this thesis, given the focus on the SMEs in the steel and foundry industry and their relationship with partners and suppliers, the commitment-trust framework offers a useful base for analyzing the influence of trust and commitment on cooperation, information sharing and long-term collaboration in B2B settings.

Overall, the commitment-trust perspective emphasizes that trust and commitment not only stabilize relationships, but also enable deeper cooperation and information sharing between buyers and suppliers. This in turn provides an important foundation for more value-oriented selling approaches, where suppliers seek to co-create and communicate value beyond price in close collaboration with their customers.

2.3 Value-Based Selling

Building on the centrality of trust and commitment, this section shows how these relational conditions create the foundation for more value-oriented ways in which suppliers interact with SMEs in industrial sectors.

In recent years, the perspective of relationship marketing, and the idea of value co-creation have been more concretely articulated through the concept of **value-based selling (VBS)**. Terho et al. (2012) conceptualize VBS as a sales approach in which the salesperson (1) works together with the customer to better understand the customer's business model, (2) crafts tailored value propositions, and (3) conveys the supplier's financial contribution to the profitability of the customer (Terho et al., 2012). Instead of starting from predetermined products and price lists, VBS focuses on the value-in-use potential of the offering for the customer's operations and profit, for instance, by demonstrating how a specific solution may reduce downtime, improve yield, or lower total cost of ownership (Terho et al., 2012; Töytäri

& Rajala, 2015). Furthermore, more recent work on VBS by Keränen et al. (2023), similarly characterizes the concept as a selling approach in which suppliers or salespeople support their customers' broader value-generating processes and business results, rather than just delivering products and basic services (Keränen et al., 2023). In this sense, VBS differs from the more transactional, product-centered selling tactics. These tactics emphasize features and discounts, which assumes that customers will conclude the value themselves (Keränen et al., 2023; Terho et al., 2012; Töytäri & Rajala, 2015).

While Terho et al. (2012) do develop VBS mainly at a level of individual salespersons' behavior, Töytäri and Rajala (2015) argue that effective value-based selling must be viewed as an organizational capability rather than purely a personal skill. In their multiple case study of nine industrial firms, they define VBS as an approach that requires businesses to build shared tools and routines for things like analyzing customers' business processes, measuring financial effects, developing and documenting value propositions, and providing credible evidence of realized outcomes (Töytäri & Rajala, 2015).

For suppliers working with SMEs in industrial sectors, such as in this case, the steel and foundry industry, it appears that these insights have several implications. Firstly, SMEs often operate with limited managerial and analytical resources, which means that they may very well be struggling to articulate or calculate the full impact of their supplier choices when it comes to operations and finance. As mentioned earlier, VBS suggests that suppliers need to be more proactive in helping their SME customers to diagnose their processes, figuring out where value can be added (e.g. through better delivery reliability, or support with sustainability documentation), and turning these improvements into actual cost and time savings (Terho et al., 2012). Secondly, VBS also emphasizes the significance of trust and reliable information sharing in SME-supplier relationships, since it necessitates deeper mutual understanding and more extensive interactions, especially when customers might face higher perceived risks related to financial exposure, performance, and the sustainability transition (Terho et al., 2012; Töytäri & Rajala, 2015).

At the same time, value-based selling assumes a certain level of mutual confidence (i.e. customers must trust suppliers' claims about performance improvements and be willing to share information about their own operations). Therefore, understanding how SMEs perceive and manage different types of risk in supplier relationships becomes essential for explaining when value-based selling efforts succeed or fail.

A more general description of what "value" actually contains in industrial buyer-seller relationships is provided by Lapierre (2000), whose empirical work on perceived value in business markets identifies thirteen value drivers grouped into three categories: **Product-related drivers** (e.g. alternative solutions, product quality, product customization), **service-related drivers** (e.g. responsiveness, flexibility, reliability, technical competence), and **relationship-related drivers** (e.g. supplier's image, trust, solidarity, conflict resolution, time-to-market, etc.) (Lapierre, 2000).

Lapierre's classification of the latter is particularly useful for this study since it bridges two otherwise separate streams. (1) it operationalizes the value-in-use logic that VBS researchers later developed (Terho et al., 2012; Töytäri & Rajala, 2015), and (2) it explicitly anchors relational variables, such as trust and solidarity as components of perceived value rather than as separate constructs. For SME buyers in industrial contexts, this finding carries important implications, as it suggests that supplier selection is not shaped by a clear division between tangible product attributes and relational considerations. Rather, these factors are assessed as interconnected dimensions of perceived value (Lapierre, 2000). We adopt Lapierre's thirteen-driver framework as one of the analytical foundations for the empirical investigation. This allows us to move beyond treating customer value as a singular construct and instead examine how SMEs in the Swedish steel and foundry industry articulate the specific drivers that influence supplier selection, retention, and switching decisions.

2.4 Perceived Risk, Opportunism and Relationship Breakdown

The perceived risk in organizational buying refers to decision-makers' expectations of potential losses associated with a purchase and the uncertainty surrounding these losses. Mitchell's (1995) literature review on organizational risk perception showed that risk typically is conceptualized as a combination of possible losses, the importance of those losses, and the uncertainty about whether and how they occur (Mitchell, 1995). He builds on earlier work in consumer research by noting that organizational buyers may perceive multiple types of losses (i.e. financial, performance, time, social, psychological), noting that in industrial purchasing, the buyer's risk views take two forms, (1) a risk perception focused on the buyer him/herself, and (2) the other borne by the buyer's organization (Mitchell, 1995). Furthermore, he discusses that in industrial contexts, fears about making wrong decisions, displeasing superiors, or harming internal relations can all strongly influence purchase behavior.

Perceived risk is rooted in the "dark side" of B2B relationships, especially when buyers fear that their suppliers will engage in opportunistic behavior (Abosag et al., 2016; Morgan & Hunt, 1994). The "dark side" of business is described by Abosag et al. (2016) as a term usually used to refer to the dysfunctional, destructive, or unethical aspects that may emerge in business, causing reduced performance, as a result of opportunism, severe conflict, and misuse of information (Abosag et al., 2016). Opportunism is often described in literature as "self-interest seeking with guile". In short, someone who violates rules or agreements to benefit themselves, such as by secretly lowering quality, inflating prices, or withholding information (Abosag et al., 2016; Morgan & Hunt, 1994).

The work of Liu et al. (2010) shows that supplier opportunism reduces trust and satisfaction and has significant negative effects on the buyers' loyalty intentions, therefore leading to a weakened relationship quality and increasing the chances of relationship deterioration (Liu et al., 2010). In their model, opportunism is tested together with two forms of commitment, calculative and loyalty. The calculative commitment is seen as an economically motivated and structurally based reason to maintain a relationship. It is worth noting that calculative commitment on its own is also seen as a negative motivation for continuing a relationship, and is associated with fragile and vulnerable relationships (Liu et al., 2010).

For SMEs, who might depend on a limited number of important suppliers, the perceived consequences of a poor choice regarding a supplier (e.g. production delays and stoppages, or quality failures) can therefore be significant, which increases their overall risk perceptions in supplier selection (Mitchell, 1995).

These insights indicate that perceived risk and the potential "dark side" of relationships can substantially shape how organizational buyers evaluate suppliers and decide whether to continue or leave relationships. In capital-intensive industrial markets such as the Swedish steel and foundry industry, where operational disruptions and quality failures can be particularly costly, these risk perceptions are likely to be especially important.

2.5 SME Customers in B2B Context

In the European Union, companies with fewer than 250 employees and an annual revenue not exceeding EUR 50 million, or a balance sheet total of no more than EUR 43 million are referred to as small and medium-sized enterprises. This group includes microbusinesses with fewer than ten employees, small businesses with fewer than fifty, and medium-sized businesses with fewer than 250 employees (European Commission, n.d.-a). Given that SMEs account for most businesses, SMEs tend to be quite diverse, spanning micro-workshops to medium-sized industries with significant export operations (European Commission, n.d.-b).

SMEs have a key role in Swedish and European business structures from an economic standpoint. According to the European Commission, Joint Research Centre (2025), SMEs make up 99,8% of all businesses in Sweden and employ between 57% and 65% of the workforce in the non-financial business sector, highlighting the systemic significance that comes with SMEs for job generation and value development (European Commission, Joint Research Centre, 2025). Along with a smaller number of major firms, small businesses account for a significant portion of turnover and employment in many manufacturing-oriented industries (Business Finland, 2024; European Commission, n.d.-b).

Besides the numerical dominance and the economic significance, SMEs have mainly less market power than the bigger corporations. They generally have limited financial resources, less bargaining leverage and a smaller customer base. This often hinders their ability to influence the market conditions or absorb external shocks like a disruption in the supply chain and price volatility (OECD, 2023). In B2B relationships within the production sectors like the Swedish Steel- and Foundry Industry the SMEs work mostly as subcontractors or niche suppliers that are reliant on a handful of big clients. This leads to asymmetrical power dynamics that limit strategic autonomy and price flexibility (European Commission, n.d.-b; OECD, 2023).

2.6 Organizational Buying Behavior of SMEs

SMEs are different from large businesses in several ways when it comes to purchasing behavior. The buying center's composition, organizational traits, individual decision-maker features, and contextual factors all influence purchasing decisions (Webster Jr. & Wind, 1972). For clarity, Webster and Wind's (1972) visual model of the organizational buying behavior is presented below.

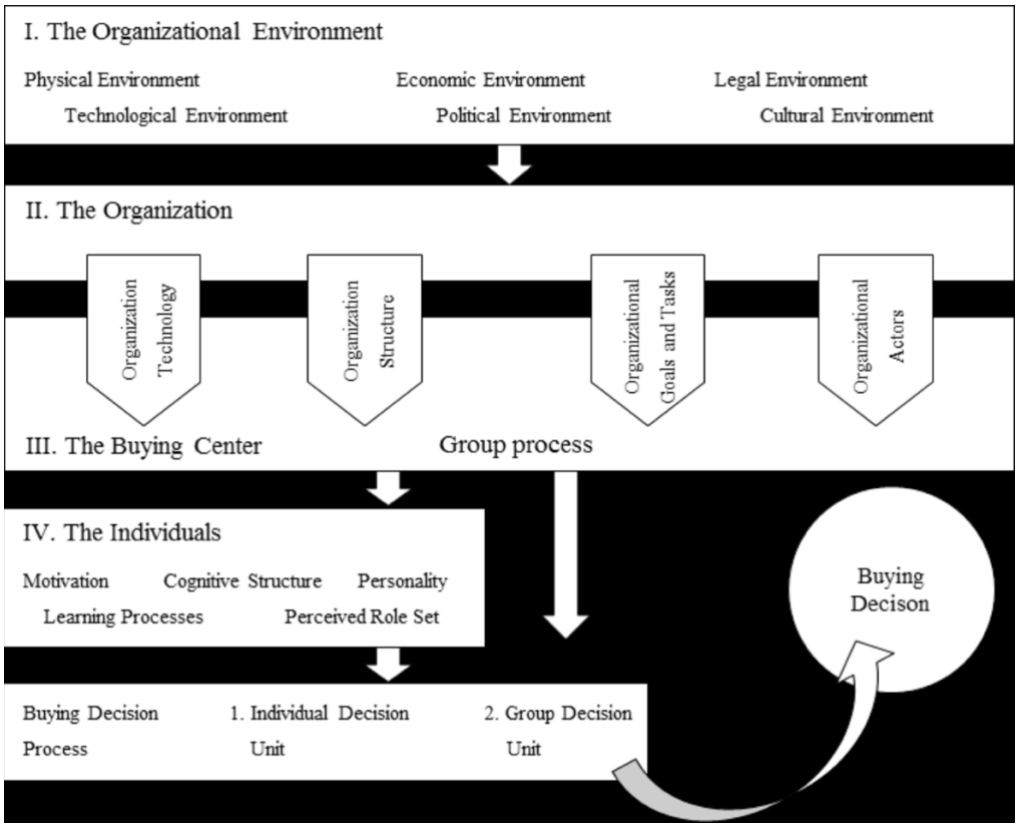


Figure 1 (Webster Jr. & Wind, 1972)

Webster and Wind (1972) discuss the filling of different roles in organizational buying, stating that one individual may occupy more than one role in the purchasing model (Webster Jr. & Wind, 1972). This aligns with SMEs where certain limitations such as lack of specialized staff and roles might lead to a single person taking on multiple roles and decisions within purchasing. In SMEs, purchasing behavior is characterized by limited specialized procurement staff and overlapping roles (e.g. owner-manager or production manager also acting as purchaser).

Furthermore, there may be more informal and centralized decision processes, as well as more financial resource constraints, leading to higher sensitivity to perceived risk. SMEs also tend to put more emphasis on personal relationships. When choosing and evaluating suppliers, trust, perceived dependability, and convenience of doing business become especially important because decision-makers in SMEs usually lack the time and resources for thorough supplier evaluations (Gilmore et al., 2001; Morrish et al., 2010). Because these characteristics directly affect their own operational risk and capacity usage, SMEs may, at the same time, place a higher value on flexibility in order quantities, lead times, and technical support than on solely price-based advantages (Gilmore et al., 2001; Terho et al., 2012).

Recently, subsequent studies have continued to employ and adapt Webster and Wind's framework in contemporary organizational contexts. For example, Bachkirov (2016) develops and empirically evaluates an OBB model for Omani organizations that reconceptualizes buying roles while retaining Webster and Wind's "multi-actor" logic, showing how cultural context shapes the pattern of organizational buying (Bachkirov, 2016; Webster Jr. & Wind, 1972). Similarly, Jakwe et al. (2023) draw directly on Webster and Wind's (1972) four categories (i.e. environmental, organizational, buying-center and individual factors) to model and test how such variables influence a process called e-tendering in a South African public-sector department (Jakwe et al., 2023; Webster Jr. & Wind, 1972).

At the same time, recent reviews emphasize that these classical OBB models are historically important but increasingly limited. Cabanelas et al. (2023) describe the OBB framework from Webster and Wind (1972) as a milestone in industrial marketing but argue that it remains predominantly static inside organizations, calling for more dynamic, digitally informed perspectives on buying centers (Cabanelas et al., 2023; Webster Jr. & Wind, 1972). Similarly, a recent article from Ehret et al (2024) on buying centers proposes shifting from firm-bounded buying centers to networked, multi-organizational ecosystems, again building on but moving beyond Webster and Wind's original assumptions (Ehret et al., 2024).

Together, these studies suggest that while the Webster and Wind OBB model remains a crucial reference point in organizational buying research, it was originally developed and most extensively applied in larger and public organizations characterized by more formal, multi-actor decision processes. At the same time, SME-focused research highlights informal, owner-driven and network-embedded purchasing with limited specialized buying roles,

indicating that the assumptions of classic OBB models need to be examined and contextually adapted when applied to SMEs rather than accepted at face value.

In conclusion, existing research on organizational behavior highlights that SMEs follow multi-stage purchasing processes, but often with overlapping roles, informal procedures and heightened sensitivity to perceived risk and relational qualities. However, prior research has rarely integrated these SME-specific decision dynamics with relationship marketing, value-based selling and perceived risk perspectives in the context of this industry, which motivates the research gaps discussed in the following section.

2.7 Research Gaps

Upon discussing all the literature earlier, we can first conclude that the existing relationship marketing and value-based selling research has primarily examined how suppliers design relationship strategies, sales capabilities and value propositions, often from the perspective of large buying organizations. Grönroos (1994) and Morgan and Hunt (1994) have both also predominantly focused on supplier side practices or key account management, rather than on how SMEs themselves perceive and assess industrial suppliers (Grönroos, 1994; Morgan & Hunt, 1994). This is similar to how Wind and Webster Jr.'s (1972) model was designed for organizations with more formalized, and more established procurement structures, without the typical SME resource constraints, and informal decision-making habits (Carson, 1990; Gilmore et al., 2001; Webster Jr. & Wind, 1972). Furthermore, as discussed earlier, even more recent studies by Bekata and Kero (2024), as well as by Stancu et al. (2020), have also analyzed value from the supplier's strategic perspective, rather than adopting the SME's point of views, leaving the buyer side perspective of SMEs in industrial markets comparatively underexplored (Bekata & Kero, 2024; Stancu et al., 2020).

Besides the supplier-side focus, a second gap concerns the aspects of the commitment-trust perspective and organizational risk. For instance, with the commitment-trust perspective demonstrating that trust and commitment are key mediating variables that reduce perceived uncertainty, foster cooperation and decrease the likelihood of relationship exit, there are yet other underexplored relational dynamics from the perspective of SME buyers (Doney & Cannon, 1997; Morgan & Hunt, 1994; Paparoidamis et al., 2019). The risk-based studies discussed earlier that showed how supplier opportunism, and different fears of risks such as financial and psychological loss shape purchasing behavior, have not been integrated with

value-based and relationship-quality perspectives in an SME focused framework (Abosag et al., 2016; Liu et al., 2010; Mitchell, 1995).

The third and final gap is contextual in nature. Although, the Swedish steel and foundry industry is characterized by high technological complexity, strong export orientation, and a major ongoing transition towards fossil-free production, we see less academic attention given to the networks of SME manufacturers, who also rely on dependable access to the steel and foundry inputs. Also, given that research on such firms confirms that they face distinct operational, financial and relational vulnerabilities, and confirms that their survival increasingly depends on how effectively buyer-supplier relationships are configured, it is therefore important and relevant to understand what value drivers, relationship qualities, and risk perceptions concern these firms (Kanyepe et al., 2025; Karmaker et al., 2023).

Taken together, the three gaps point to a clear need for more empirical, buyer-centered research that integrates value perceptions, perceived risk and relationship quality within this context.

2.8 Synthesis and preliminary conceptual framework

2.8.1 Synthesis of the theoretical perspectives

This chapter suggests that SME supplier evaluation in the Swedish steel and foundry industry can best be understood as a part of a broader buying process in which needs are recognized, alternatives are considered and assessed, and final supplier choices are made under earlier discussed conditions of limited time, information, and resources. From an organizational buying perspective, SMEs follow a multi-stage process when identifying needs, searching for suppliers and evaluating choices, but these processes are typically more informal, personalized, and resource-constrained, compared to larger organizations, given that owners often fulfil multiple roles without specialists in procurement (Carson, 1990; Gilmore et al., 2001; Goffee & Scase, 2015; Webster Jr. & Wind, 1972).

The commitment-trust perspective and its extensions have demonstrated that trust in a supplier's reliability, competence and honesty, together with commitment to maintaining a valued relationship over time, are ultimately central mediating factors that enable cooperation, information sharing and long-term collaboration. They also demonstrate that perceived supplier opportunism directly undermines these relational qualities, increasing the likelihood of relationship deterioration and exit (Doney & Cannon, 1997; Liu et al., 2010; Morgan & Hunt,

1994; Paparoidamis et al., 2019). Furthermore, value-based selling literature emphasizes that superior supplier value is not found in products or price per se, but rather in how suppliers' offers contribute to the customers' operational performance, reliability, and long-term profitability, and that effective value communication requires mutual understanding and trust (Keränen et al., 2023; Terho et al., 2012; Töytäri & Rajala, 2015). Ultimately, this suggests that relational mechanisms and perceived value-in-use could be intertwined (i.e. trust and commitment can shape how SME buyers interpret and weigh different value drivers such as reliability, flexibility, responsiveness, etc.).

Perceived risk literature adds one further step, showing that industrial buyers weigh multiple potential losses (e.g. financial, performance, time, social and psychological), and that for SMEs in particular, the consequences of a poor supplier choice can have a substantially negative impact, given their limited buffers, dependence on a small number of key partners and the personal responsibility borne by individual decision-makers (Abosag et al., 2016; Mitchell, 1995). In this industry, some of these factors may be amplified as a result of the industry's sustainability transition, which creates space for new potential risks related to traceability, carbon documentation, and other factors to emerge (Fossilfritt Sverige, 2022; Jernkontoret, 2026; Kanyepe et al., 2025).

2.8.2 Preliminary conceptual framework and link to research design

Building on the synthesis, the preliminary conceptual framework below (Figure 2) organizes the main theoretical insights into four connected building blocks within the SME supplier selection process. This framework serves as a sensitizing tool for data collection, rather than as a fixed analytical framework. It provides us with a theoretically informed structure for designing the interview questions and identifying relevant topics, but it does not determine which codes, themes, or relationships will emerge from the data. The framework will be revisited and refined in the discussion chapter based on the patterns SME respondents express.

Firstly, at the top of the framework lies organizational buying behavior, or OBB. It represents the buying process and decision context within SMEs' recognition for needs, search for suppliers, and evaluation of alternatives (Gilmore et al., 2001; Webster Jr. & Wind, 1972). The downward arrows from OBB to the three blocks indicate that this context shapes how value, relationship quality, and risk are interpreted. For instance, informal decision processes or

overlapping roles in SMEs may make personal trust more salient when SMEs evaluate suppliers (Carson, 1990; Gilmore et al., 2001; Goffee & Scase, 2015).

Block A **(VBS & Value-drivers)** captures how supplier offerings create operational and financial value for SMEs through reliability, quality, flexibility, technical support and sustainability services (Terho et al., 2012; Töytäri & Rajala, 2015).

Block B **(Relationship quality)** captures trust, commitment, fairness and perceived opportunism as relational mechanisms that can either support or undermine ongoing supplier relationships (Doney & Cannon, 1997; Liu et al., 2010; Morgan & Hunt, 1994).

Block C **(Perceived risk)** represents the multiple forms of potential losses (i.e. performance, financial, relational, etc.) that SME buyers may consider when evaluating suppliers (Abosag et al., 2016; Mitchell, 1995).

The three blocks meet at the same point, the **"Supplier Selection Outcome"** box, which indicates that SME decisions about supplier choice, depth of commitment, willingness to pay price premiums, and switching readiness emerge from joint consideration of value-related benefits, relationship quality, and perceived risks. The guiding idea of this structure is that supplier evaluation arises from how decision-makers weigh value perceptions and risk concerns within their specific organizational context, rather than from price alone (Keränen et al., 2023; Lapierre, 2000; Terho et al., 2012).

At the same time, the framework presents value-related factors (Block A), relationship quality (Block B), and perceived risk (Block C) as parallel inputs into the supplier selection outcome, without specifying detailed causal paths or feedback loops between them. Research does suggest that such dynamic interdependencies are likely. For instance, that trust can reduce perceived risk, that perceived opportunism can quickly erode commitment, or that a negative experience with a supplier can shift what buyers subsequently value most (Doney & Cannon, 1997; Liu et al., 2010; Mitchell, 1995; Morgan & Hunt, 1994; Paparoidamis et al., 2019). However, the literature reviewed here does not yet offer an empirically grounded understanding of how these mechanisms interact in SME-supplier relationships in the Swedish steel and foundry industry context. This unmodelled dynamic interplay between value, relationship quality, and risk therefore constitutes a central part of the research gap that this thesis seeks to explore.

The interview guide presented in chapter 3 maps directly onto this preliminary conceptual framework: Section 1 focuses on the buying process and criteria **(OBB)**; Section 2 explores trust, commitment and opportunism **(Relationship quality)**; Section 3 focuses on performance, financial, relational, and sustainability risks **(Perceived risk)**; Section 4 investigates value drivers such as reliability, flexibility, and technical support **(VBS & value-drivers)**. Finally, our concluding questions to the participants focus on gathering their reflections on trade-offs and switching decisions, prompting respondents to reflect explicitly on how value considerations, relationship experiences and perceived risks come together in supplier choices. In line with the study's theory-informed inductive design, the framework thus guides what we pay attention to in data collection, but it does not predetermine which codes, themes or specific relationships will be identified in the analysis. Instead, these are allowed to emerge from SME narratives and are only later compared to and used to refine the preliminary framework (Braun & Clarke, 2006a; Easterby-Smith et al., 2021; Gioia et al., 2013; Patton, 2015).

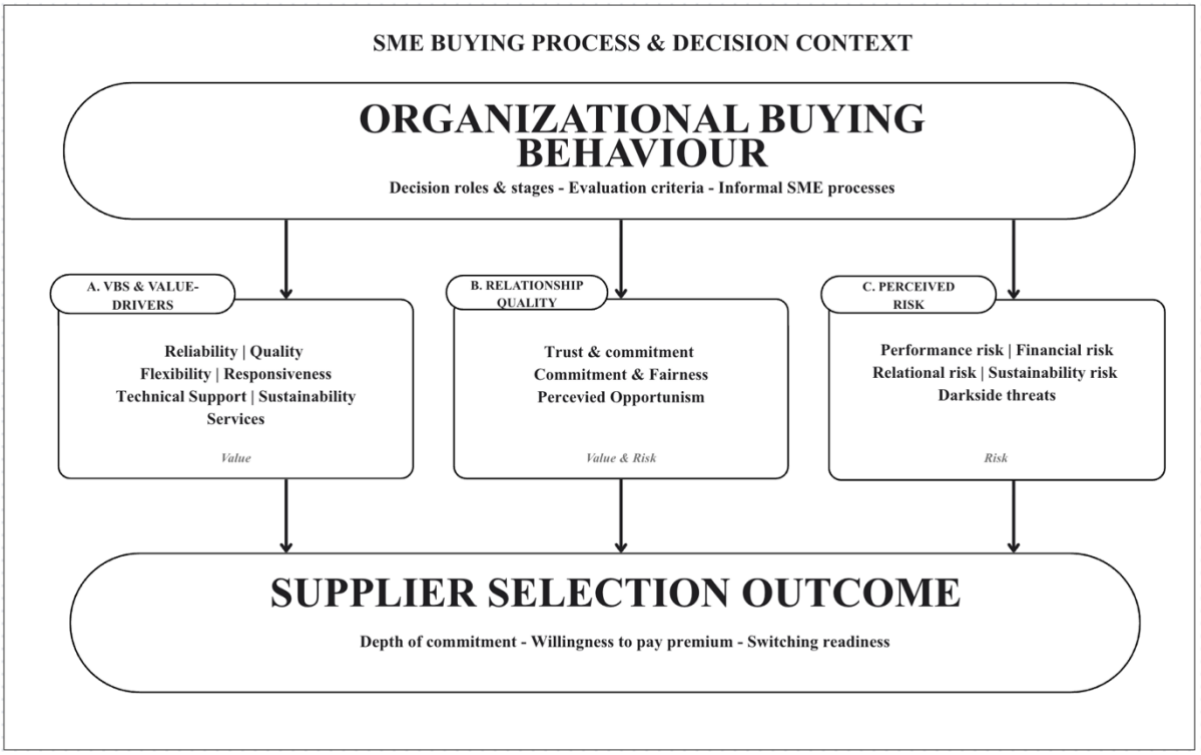


Figure 2 - Preliminary Conceptual Framework

3 Methodology

In this chapter, we present and justify the methodological choices for this study. It begins by outlining the research philosophy, followed by the research approach and design. Furthermore, the empirical context, sampling strategy, and the data collection and analysis methods are also presented in this chapter. Lastly, the chapter closes with a discussion of the research quality criteria, and the ethical considerations.

3.1 Research philosophy

This study primarily takes a relativist ontological stance, assuming that fundamental concepts like "value", "risk", and "relationship quality" are not fixed, objective properties, but are instead socially constructed through the interpretations and interactions of the actors involved (i.e. SME decision-makers and purchasing representatives). From this perspective, what counts as valuable supplier actions or risky behavior is not given in advance, but is rather determined by how actors within SMEs interpret and experience their interactions with suppliers in their everyday work practices (Easterby-Smith et al., 2021; Willig, 2008).

In terms of epistemology, the study is guided by an approach that combines elements of interpretivism and pragmatism. An interpretivist stance emphasizes the importance of understanding how social actors make sense of their worlds (i.e. SME buyers make sense of their relationships with supplier representatives), and therefore privileges methods that can access meanings, perceptions, and interpretations rather than merely measuring predefined variables (Easterby-Smith et al., 2021; Willig, 2008). In this study, the interpretive orientation means that attention is directed toward how SME buyers describe and explain their supplier relationships, purchasing decisions, and expectations in their own words, which is better captured through qualitative interviews and thematic analysis than through standardized quantitative methods (Braun & Clarke, 2006; Patton, 2015).

A pragmatic approach complements the epistemological approach by ensuring that the theoretical contribution to relationship marketing, organizational buying behavior, perceived risk, and value-based selling is developed within a real-world context that has practical implications for suppliers operating within the Swedish SME market (Easterby-Smith et al., 2021; Saunders et al., 2023). Ultimately, in the context of this study, a pragmatic epistemology implies that the contribution to relationship marketing, organizational buying behavior, perceived risk, and value-based selling is developed in close connection to the empirical realities of the context of the Swedish steel and foundry industry, with findings that can both inform academic debate and suppliers' strategic decisions in this market (Easterby-Smith et al., 2021; Saunders et al., 2023).

Together, this relativist-constructivist ontology and interpretivist-pragmatic epistemology align with the theory-informed inductive design where the idea is to build a contextualized understanding of how SMEs perceive value and risk in supplier relationships, while at the same time producing insights that are useful for practitioners in the industry (Easterby-Smith et al., 2021; Patton, 2015; Willig, 2008).

3.2 Research approach and design

The study follows a theory-informed inductive approach, emphasizing the generation of theoretical insight out of empirical data that are gathered through interviews with SME participants. While the preliminary conceptual framework of chapter 2.8 guided the development of the interview questions, the analytical process itself remains grounded in the data rather than assumptions derived from pre-existing theories. The goal is to allow patterns and relationships to emerge directly from the interviewees and link them to broader theoretical constructs.

This logic is aligns with Braun and Clarke's (2006) idea of iterative theme development and Gioia et al.'s (2013) approach of building on conceptual understanding through progressive abstraction (Braun & Clarke, 2006; Gioia et al., 2013). Instead of systematically combining theory and data in an abductive study, this inductive study design allows us to use empirical material to refine conceptual interpretations after recurring patterns emerge. The study keeps the preliminary framework relatively stable during data collection, and we use it primarily in a later stage to interpret and position the themes.

Because the research is exploring how SMEs perceive and prioritize value drivers, expectations and risk when selecting suppliers in the industrial context, a qualitative approach is chosen. Qualitative approaches are particularly suitable for questions that focus on how actors make sense of their experiences and for uncovering complex, context-dependent meanings and processes that may not be well captured by standardized measures (Patton, 2015; Willig, 2008). Therefore, qualitative interviews offer us a rich and interpretative insight in the perception of the SMEs, which makes analytical generalization possible instead of a statistical inference. Semi-structured interviews and thematic analysis allow us to explore SMEs' accounts in depth, while still maintaining enough structure to cover core topics consistently across participants (Braun & Clarke, 2006; Gioia et al., 2013).

The theoretical viewpoints presented in Chapter 2 further influence the design. The commitment-trust perspective highlights interactions including trust, commitment, communication, and perceived fairness when creating the interview guide and defining the analytical units. Literature on organizational purchasing behavior highlight decision responsibilities, procedural stages, and evaluation criteria within organizations and provide justification for the selection of informants participating in purchasing and production decisions. The basic idea that resource-limited SMEs may be sensitive to several types of risk, is the reason for the inclusion of questions on threats linked to performance, finances, relationships, and sustainability. Finally, the value drivers like dependability and adaptability are identified through insights from value-based selling research. These drivers are operationalized as interview topics during data collection, but the analytical codes and themes themselves emerge inductively from the interview data and are only later compared to these theoretical constructs during interpretation (Braun & Clarke, 2006; Gioia et al., 2013).

3.3 Research context

The study's empirical context is the Swedish steel and foundry industry, which consists of a range of SMEs that use steel and foundry inputs in their own production, numerous foundries and downstream processors, and technologically advanced steel producers. Due to national climate targets and programs like Fossilfritt Sverige, Sweden's steel cluster, which is crucial to exports, employment, and regional development, is currently undergoing a significant shift towards fossil-free and low-carbon production (Fossilfritt Sverige, 2022). This shift necessitates significant investments in new technologies and raises the significance of

dependable, competent suppliers that can help clients satisfy more stringent technical and sustainability requirements (Fossilfritt Sverige, 2022; Jernkontoret, 2023).

Swedish SMEs, which range in size from small workshops to medium-sized businesses, are essential middlemen between major steel producers and end markets in this context, although they frequently have limited financial and personnel resources (Net Zero Industry, n.d.). However, given that they are businesses after all, they must also adhere to changing environmental and traceability regulations while dealing with demands from high energy intensity, fluctuating input pricing, demand swings, and just-in-time delivery needs, which have been documented as key challenges for such firms (Fossilfritt Sverige, 2022; Rohdin et al., 2007). Because poor supplier performance can result in production disruptions, greater operational risk, and challenges in meeting sustainability goals, supplier selection and ongoing supplier evaluation may become strategically significant.

The study is conducted in collaboration with a Nordic trading company that distributes steel and foundry materials and related services across Northern and Central Europe. Rather than being the primary unit of analysis, this company serves as a collaboration partner and access point to Swedish SME customers in the steel and foundry industry. The partner company provides industry insights and facilitates contact with SMEs and their decision-makers who will be the main participants in this study. Easterby-Smith et al. (2021) emphasize the importance of access to organizations to collect context-rich empirical data in business and management research (Easterby-Smith et al., 2021).

3.4 Sampling strategy and case/participant selection

The study focuses on SMEs in Sweden that operate with steel and/or foundry inputs. These businesses are classified as SMEs by the European Commission because they employ less than 250 people and stay within the specified revenue or balance sheet limits (European Commission, n.d.-a). Foundries, metalworking shops, fabricators, machine builders, and other manufacturing companies that purchase steel, castings, or comparable materials directly from producers or via distributors and trading corporations are some examples.

Within this population, the study uses non-probability, purposive sampling to select owner-managers, buying managers, production managers, and other individuals in charge of supplier relationships and sourcing choices, that can shed light on how SMEs perceive and prioritize

value and risk in supplier relationships (Patton, 2015). The goal is to capture a range of SME experiences and sourcing arrangements within the Swedish steel and foundry context, so that recurrent patterns as well as context-specific nuances could be identified.

The unit of analysis is the perceptions of SME decision-makers, such as owners, purchasing managers and production managers, who are directly involved in evaluating suppliers and making or influencing sourcing decisions (Carson, 1990; Gilmore et al., 2001). Participants must (1) meet the official SME requirements, (2) be legally established in Sweden, and (3) regularly purchase steel or foundry-related materials for projects or manufacturing. Large-scale trading houses and huge industrial businesses are not included because the focus is on SMEs as purchasing groups.

Several methods will be used to find participants, such as LinkedIn searches aimed at pertinent decision-makers, cooperation with Swedish steel and foundry industry associations or cluster organizations, referrals through the collaboration partner's current network, and snowball sampling, in which interviewees recommend more businesses (Bryman, 2016; Patton, 2015). Using multiple channels helps reduce over-reliance on any single network and increases the likelihood of including SMEs with somewhat different positions and experiences within the industry.

The proposed sample consists of 6-12 representatives from different companies. We anticipate that this combination of participants will provide a manageable but sufficiently broad foundation for in-depth qualitative analysis, making sure of the discovery of recurrent themes and the creation of a robust analytical framework. The reason behind this range is that this number is quite consistent with qualitative sample-size research indicating that, in studies with relatively homogeneous participants and a clearly delimited research question, a large share of core themes can emerge within the first 6 interviews, with saturation occurring within the first 12 interviews depending on the data set (Guest et al., 2006; Hagaman & Wutich, 2017).

The final sample comprises eight participants from eight different SMEs. This number is consistent with the earlier mentioned range of 6-12 interviews (Guest et al., 2006; Hagaman & Wutich, 2017). In this study, later interviews largely confirmed and elaborated patterns identified in earlier ones, and new insights mainly refined rather than fundamentally altered the emerging thematic structure. In line with the principle of thematic saturation, additional interviews were therefore judged to yield diminishing returns in terms of new, relevant

information on value drivers, expectations and perceived risks (Easterby-Smith et al., 2021; Guest et al., 2006).

The sample approach uses thematic saturation in the sense that more interviews will likely produce declining benefits in terms of new themes relevant to value drivers, expectations, and perceived risks. The goal is to reach a point where key patterns become sufficiently stable to support analytic generalization to similar SME industrial-supplier contexts. However, complete saturation across all potential SME types is neither necessary nor practical given the different characteristics of the SME population and the single-country, single-industry focus. This leads to certain limitations: the findings may not be statistically representative of all SMEs in Sweden, and they may not be as applicable to other industries or countries with differing institutional, technological, or market conditions (Bryman, 2016; Easterby-Smith et al., 2021).

A further point concerns the relevance of the findings beyond the specific firms participating in this study, including beyond our partner company that facilitated access to several respondents. The sampling strategy was deliberately designed to broaden the empirical base in three ways. First, participants were recruited through multiple, partially independent channels (LinkedIn outreach to decision-makers identified through public industry directories, association contacts, and snowball referrals) in addition to introductions through the partner's network, so that the sample is not confined to a single relational ecosystem. Second, purposive variation was sought across firm size (within the SME criteria), sub-industry position (foundry operators, metalworking and machine-builder SMEs, downstream component manufacturers), and respondent role (owner- manager, purchasing manager, production manager), which we see is consistent with the logic of maximum variation sampling (Patton, 2015). Third, the analytic goal is analytical, not statistical. The generalization therefore highlights that the patterns and relationships surfaced here are intended to be transferable to other industrial SMEs facing comparable conditions, namely concentrated supplier bases, capital-intensive throughputs, sustainability-driven procurement pressure, and overlapping buying-center roles (Easterby-Smith et al., 2021). The conceptual framework that emerges from the analysis is therefore not a description of supplier-buyer dynamics inside our partner company's network alone, but a sensitizing lens that other researchers and practitioners can test, adapt and refine in related industrial SME contexts.

3.5 Data collection methods

3.5.1 Semi-structured SME interviews

The primary data collection method consists of semi-structured interviews with SME participants in the Swedish steel and foundry sector. Semi-structured interviews are suitable because they give the interviewees the freedom to bring up issues that are important in their specific situation while also enabling us to cover specific topics derived from the theoretical framework, such as value drivers, expectations, purchasing processes, and perceived risks (Brinkmann & Kvale, 2014). This style is useful for documenting subjective impressions and meanings within our topic, such as how SME decision-makers describe their interactions with suppliers, how they evaluate the strength of relationships, and how they weigh risk and value in specific purchase scenarios.

Depending on participant preferences, practical constraints, and geographic distance, interviews with SMEs will take place either in-person (e.g., at company premises) or virtually through video-conferencing platforms (Deakin & Wakefield, 2014). To respect the time constraints of busy SME managers and provide enough time to thoroughly examine the subjects, each interview is anticipated to run between 45 and 75 minutes.

To assist systematic coding and analysis, interviews will be audio-recorded with informed consent and then transcribed verbatim. Field notes will be taken to record contextual observations and initial analytical concepts (Bryman, 2016). Given potential language barriers, the interviews are conducted in Swedish, the participants' mother tongue, in order to avoid missing or misinterpreting any of their experiences and insights. The interview transcripts are then translated with the help of the software DeepL and subsequently checked by one of the authors to ensure accurate translation and no loss of context.

Organizational buying processes, relationship quality (trust and commitment), perceived risk factors, and value-based selling/value drivers are covered in the interview questions (Refer to table 1). In order to explore perceptions and meanings, questions will be open-ended and written in easily understood language, frequently utilizing real episodes (such as recent supplier selection or conflict scenarios).

3.5.2 Supplementary data

The study also gathers other data to enable triangulation and contextualize the SME interview information. To learn about existing sales strategies, relationship management techniques, and perceived difficulties in serving Swedish SME clients, semi-structured interviews are first carried out with employees of the collaboration partner. These internal interviews are not treated as primary empirical material and are not systematically coded or included in the formal data analysis; instead, they serve only as background conversations for us as authors to better understand the partner company's situation and the broader market context. Rather than serving as essential information for addressing the primary research question, these interviews are therefore mainly used indirectly, to inform our own contextual understanding.

Second, secondary data are gathered in the form of industry reports, statistics, past studies, and policy documents (e.g. from Jernkontoret, Fossilfritt Sverige, and the European Commission) as well as company materials and publicly available documents from the collaboration partner and other relevant actors. These resources assist the interview results in a larger institutional and market perspective by offering background information on the dynamics and structure of the Swedish steel and foundry industry, the function of SMEs in the economy, and the continuing sustainability transition. These supplemental data are mostly used for contextualization and triangulation; they are not considered primary data for the research question, but rather are utilized to enhance the description of the empirical environment and verify the plausibility of conclusions based on interviews (Business Finland, 2024; European Commission, Joint Research Centre, 2025; Jernkontoret, 2023, 2026).

3.6 Interview guide and operationalization

The interview guide portrays the theoretical concepts that are discussed in Chapter 2 and then translated into concrete topics and questions that can be explored with the participants (Brinkmann & Kvale, 2014). Looking at the organizational buying behavior (OBB), the questions will relate to the behavior of how SMEs search for suppliers and evaluate them, who is engaged in the buying process, which criteria are being considered, and how decisions are made under time and resource constraints. For instance, the participants can be questioned on their most recent decision regarding their supplier or switching decision, including which alternatives are being considered (Webster Jr. & Wind, 1972). Ultimately, rather than being a rigid script, the guide is structured around core themes derived from the preliminary conceptual

framework, while leaving room for participants to introduce issues that they consider important.

Making use of the commitment-trust perspective, participants will be questioned on trust, commitment, communication and fairness that is perceived in supplier relationships. Participants will be invited to express what makes them trust a supplier, how they judge if a supplier invests in a relationship, and how they respond to behavior that they perceive as opportunistic (e.g. unexpected price increases, quality problems, or lack of transparency) (Abosag et al., 2016; Doney & Cannon, 1997; Morgan & Hunt, 1994). With these questions, we aim to operationalize relational form by aiming on the concrete experience and behavior indicators.

The perceived risk is operationalized by questioning the different risk dimensions that will have influence on the participants' supplier evaluation. They will be questioned on performance risk (quality and delivery reliability), financial risk (price volatility), relational risk (dependency, opportunism) and sustainability related risks (not meeting environmental or transparency requirements). The interviewees will be asked to describe situations where they perceived a big risk, how they tried to limit this and how risk perceptions influenced their willingness to maintain long-lasting relationships (Abosag et al., 2016; Mitchell, 1995). This will enable us to identify which risk dimensions are most relevant to the judgment of SME's and how these relate to value drivers and relationship quality.

At last, the value-based selling and customer perceived value are being captured by questioning what the participants consider valuable in their supplier relationships beyond price, building on research on value-in-use and value propositions (Lapierre, 2000; Terho et al., 2012; Töytäri & Rajala, 2015). Topics will include trustworthiness, consistent supply, technical support, communication and documentation. The participants will be encouraged to give concrete examples on how they evaluate the ideal supplier and why they see it that way. This will help us translate the abstract concept of value-in-use into specific experience and expectations.

Across all topics, the questions are phrased in non-technical language and focus on recent, concrete experiences to support rich, detailed narratives and reduce the risk of socially desirable or overly abstract responses (Brinkmann & Kvale, 2014; Patton, 2015). The full interview guide, including example questions under each thematic block, is provided in Appendix 1 (Interview Questions Guide), which enhances transparency regarding how theoretical constructs were operationalized in the data collection.

Research focus	Key theoretical concepts	Example interview questions
SME buying and evaluation of suppliers	Organizational buying behavior, buying roles, decision process	*"Walk me through your typical process when you need to source new steel/foundry materials"; "What are the top 3 criteria you use when evaluating potential or existing suppliers?"*
Relationship quality and mechanisms	Commitment–trust, communication, fairness, opportunism	*"What makes you trust a steel or foundry supplier?"; "Can you think of a situation where a supplier behaved particularly fairly or unfairly? How did you respond?"*
Perceived risk in supplier relationships	Performance, financial, relational, sustainability risk	*"When you select a new or existing steel supplier, what worries you most?"; "Do you personally feel any risk or pressure when making supplier decisions?"*
Value drivers and value-based selling	Customer-perceived value, value-in-use, value-based selling	"*Beyond price, what creates the most value for you in a supplier?"; "In what ways, if any, do suppliers help you save time, reduce problems, or meet sustainability requirements?"*

Table 1; Examples of Interview Questions

The table above shows how the research question, theoretical concepts and example questions for an interview are linked.

3.7 Data analysis strategy

Thematic analysis and a Gioia-style coding scheme will be used to analyze the empirical data. In practical terms, Braun and Clarke's (2006) thematic analysis provides the overall procedure for identifying, reviewing and refining patterns of meaning in the interview data, whereas Gioia et al. (2013) coding structure operates as an organizing tool in the procedure. Following Braun and Clarke, the analysis proceeds through familiarization, initial data-driven coding, construction and review of candidate themes, and refinement of the final thematic map (Braun & Clarke, 2006). Within these phases, the Gioia framework helps us distinguish between first-order concepts that stay close to informants' own terms, second-order themes that connect these concepts to theoretical ideas, and aggregate dimensions that correspond to broader constructs in the conceptual framework (Gioia et al., 2013). Our goal with this combination is to have a theory-informed inductive design, where existing theory is used to structure the representation of themes without imposing predetermined categories on the coding process or forcing the data to fit in the initial framework.

According to Braun and Clarke, thematic analysis is a versatile technique for finding, examining, and summarizing patterns (themes) in qualitative data that are appropriate for connecting participant narratives to theoretically based categories (Braun & Clarke, 2006). Using a Gioia-inspired methodology, the analysis makes a distinction between first-order concepts (close to the informants' own language), second-order themes (more abstract, theoretically informed categories), and aggregate dimensions that correspond to the main constructs in the conceptual framework (Gioia et al., 2013).

Prior to the initial coding of significant text segments relating to value drivers, expectations, risk perceptions, purchasing methods, and relationship experiences, the analysis practically starts with familiarization with the data through repeated reading of transcripts and field notes. To prevent premature theory imposition, codes are kept relatively descriptive and close to the participants' terms in the first coding cycle. In later cycles, codes are grouped into more abstract themes that relate to or expand upon theoretical constructs. The reworked conceptual framework that will be offered in the analysis and discussion chapters is based on the further aggregation of these themes into higher-level dimensions, such as categories of value drivers, relational mechanisms, and risk kinds.

The qualitative analysis software NVivo will support our data management and aid us in coding to enable systematic storage, access, and comparison of codes and themes. In accordance with Gioia et al.'s guidelines for the transparent presentation of qualitative findings, the analytical process will be documented with notes and visual data-structure diagrams (Gioia et al., 2013; Miles et al., 2014). Themes related to value drivers and expectations will be used to address how SMEs perceive and evaluate suppliers; relational mechanism themes will provide insight into how trust and commitment influence supplier selection and evaluation; and risk-related themes will address how SMEs experience and manage perceived risks, all of which are explicitly linked to the research question.

We made a deliberate choice to keep the preliminary framework (presented in 2.8) from prematurely shaping the analysis. Following the Gioia et al. (2013) method, first-order coding was conducted line by line and stayed deliberately close to the participants' own language, without reference to the framework themes within the different blocks (e.g. financial risk, fairness, flexibility). Second-order themes were then constructed bottom-up from recurring first-order codes and named in analytical, not theoretical, terms (e.g. "reliability of agreed delivery", "feeling locked-in to a dominant supplier") rather than being slotted into the framework's pre-existing categories. Only at the aggregate-dimension stage, and later during the discussion chapter, was the preliminary framework brought back in for comparison, refinement and selective revision. As a result, several findings, notably the prominence of geopolitical and regulatory uncertainty, the contingent role of green-steel premiums, and instances where trust did not in fact reduce perceived risk, sit outside or against the original framework rather than confirming it. This sequencing, together with parallel independent coding by both authors of a sub-set of transcripts and the documentation of explicit code definitions in NVivo, is intended to ensure that the framework indeed functioned as a sensitizing tool, and not as a confirmation template (Gioia et al., 2013; Patton, 2015).

3.8 Research quality

The quality of the research is going to be assessed using qualitative criteria, including the credibility, dependability, transferability and confirmability. Credibility will be pursued through triangulation of data sources (interviews with experts, interviews with collaboration partner and secondary documents), using respondent validation where the informants are invited to comment on preliminary interpretations (Bryman, 2016; Lincoln & Guba, 1985; Nowell et al., 2017). Besides that, the systematic use of thematic analysis and the explicit reporting of the coding structure will enhance the transparency on how interpretations are derived from the interviews (Nowell et al., 2017).

The dependability is supported by a clear and transparent documentation of the research process, including the sampling logic, interview protocol and step-by-step description of the coding and theme development (Bryman, 2016; Lincoln & Guba, 1985; Nowell et al., 2017). The transferability is supported by a detailed contextualization of the Swedish steel and foundry industry, and of the participating SMEs, to enable the readers to assess the extent to which the research is applicable for different regions or sectors. The study does not claim statistical generalizability, but it does aim for analytical generalization to theoretical constructs that could be relevant beyond the specific case (Bryman, 2016; Lincoln & Guba, 1985).

Transferability concerns the extent to which the findings are applicable in other contexts than the environment of Swedish SMEs in the Steel and Foundry industry (Lincoln & Guba, 1985). This is addressed through a detailed description of the branch, the characteristics of the SME and the relationship to the suppliers, so the reader can judge the relevance of results to similar environments (Lincoln & Guba, 1985; Nowell et al., 2017). Rather than seeking statistical generalization, the research supports the use of analytical generalizations to broader theoretical constructs that are relevant to B2B-relationship marketing and value-based practices in comparable industrial contexts (Bryman, 2016).

Confirmability is referring to the extent in which the findings reflect the participants, rather than our biases (Bryman, 2016; Lincoln & Guba, 1985). This will be made possible by reflective practices, like keeping notes of previous experiences and the assumptions of us, actively looking for proof in the data that disconfirms the assumptions and making use of direct quotes to illustrate interpretations where needed (Lincoln & Guba, 1985; Nowell et al., 2017).

3.9 Research ethics

This study complies with Jönköping University's and GDPR data protection regulations as well as established ethical standards for qualitative research (Jönköping University, 2024). All informants will receive an information sheet prior to participation that outlines the study's objectives, the voluntary nature of participation, the kinds of questions that will be asked, how the data will be used, and their rights, including the freedom to refuse to answer certain questions and to leave the study at any time without facing repercussions. Before interviews start, participants will be given the chance to ask clarifying questions, and their informed consent will be obtained in writing (or recorded orally when appropriate) (Bryman, 2016).

Anonymity and confidentiality are crucial ethical factors, especially considering how small and interrelated the Swedish steel and foundry industry is. Company names and identifiable details will not be disclosed; instead, SMEs and individual informants will be assigned codes, and the collaboration partner will be presented under an anonymized label in the thesis (Kaiser, 2009). When reporting case examples, care will be taken to prevent identities from unintentionally being revealed through combinations of contextual factors. We will be the only ones with access to the systems where interview recordings and transcripts are kept. They will be treated in accordance with GDPR regulation 2016/679 of the European Parliament for data minimization, storage limits, and lawful processing (European Union, 2016).

Lastly, invitations will make it very clear that participation is completely voluntary, that withdrawal or non-participation will not have an impact on any present or future business relationships. These precautions are meant to preserve participant liberty and guarantee that the study is carried out in an ethically sound manner (Bryman, 2016).

4 Empirical findings

This chapter presents the empirical findings that emerged from eight semi-structured interviews conducted with managers, owners, and purchasing professionals working in Swedish steel and foundry SMEs.

To present the analytical procedure outlined in Chapter 3, we use Braun and Clarke's (2006) thematic analysis embedded within Gioia et al. (2013) inductive coding logic. The data is condensed into 1st-order concepts, 2nd-order themes, and four overarching aggregate dimensions. The chapter is therefore organized around these four aggregate dimensions: (4.1) Value-Based Selling and Value Drivers, (4.2) Relationship Quality, (4.3) Perceived Risk, and (4.4) Supplier Selection Outcome. Each subsection presents the underlying themes, supports them with exact quotes that are credited to the relevant person, and closes with a brief synthesis paragraph.

Eight respondents took part in the study and are referred to as Participant 1 through Participant 8, in alignment with the GDPR consent form that every respondent signed and with the mutually agreed anonymity arrangement reached with the partnering company. Quotations have been lightly edited for readability where machine-translation errors in the Swedish-to-English pipeline wrongly interpreted the respondent's intended meaning, the original wording has been preserved wherever the meaning was clear. Brackets within quotations indicate where third-party companies, brand names, or geographic specifics have been replaced with a descriptive paraphrase to preserve anonymity without losing context.

Table 1 below provides a shallow, anonymous overview of the eight participating firms and the role of the interviewee within each firm. Details such as exact staff counts, geographic location, sub-region within Sweden, and any identifying brand or product attributes are intentionally withheld in compliance with GDPR and the agreed anonymity terms. Together the sample covers foundries, model making, marine molds, steel powder and metal processing, providing a broad view across the Swedish steel and foundry SME landscape.

Participant	**Staff count (1–249)**	**Specialization**	**Role of the interviewee**
Participant 1	1–49	Foundry tooling / model-making for iron and steel castings	Owner / Manager
Participant 2	1–49	Iron foundry and mechanical workshop	Senior Manager
Participant 3	1–49	Iron foundry (small, owner-managed)	Owner / Manager
Participant 4	1–49	Specialized composite/epoxy molds for marine applications	Owner / Manager
Participant 5	1–49	Advanced steel-powder and powder-metallurgy producer	Procurement / Supply-chain Manager
Participant 6	1-49	Foundry / metal-casting producer	Manager
Participant 7	1–49	Foundry / casting producer	Owner / Manager
Participant 8	50-99	Historic iron foundry	Manager

Table 1 – Participants overview

To provide a transparent overview of how the codes, themes, and aggregate dimensions relate to one another, Table 2 presents the full coding structure that resulted from the Gioia-inspired analysis. The left-hand column lists the 1st-order codes that stay close to the respondents' own wording, the middle column groups these into more abstract 2nd-order themes, and the right-hand column shows how these themes cluster into the four aggregate dimensions introduced above. This table serves as a visual guide for the subsequent subsections, allowing to trace how specific pieces of interview data underpin the broader conceptual categories developed in this chapter.

Codes	Themes	Dimension
Delivery reliability; local stock and lead time; buffer stock for service level; consignment stock; systematic inventory and planning; ERP alerts; structured ordering; demand-driven purchasing; small-batch and fast delivery; supplier stockholding; supply security over moderate price differences	**Supply continuity and delivery security**	**VBS and value-drivers**
Quality priority; quality and delivery reliability before price; no willingness to downgrade quality; right material and correct inputs; product fit; process lock-in; chemical specifications; hidden quality changes as risk; equal quality as condition for switching	**Quality and process fit as non-negotiable value**	
Price sensitivity; total cost orientation; freight efficiency; historic price anchoring; price as quality or suspicion signal; payment terms; scrap-based cost advantage; price secondary to quality; willingness to pay somewhat more for support	**Cost discipline and total value calculation**	
Technical support; supplier help; technical competence; supplier as knowledge resource; on-site diagnostics; joint testing; process-specific support; service-oriented supplier relationship; supplier support when switching to greener products	**Service support and technical problem-solving**	
Environmental adaptation; local suppliers and short transport; logistics efficiency; full-truck logistics; circularity; greener products; work-environment improvements; environmental and chemical data; targeted CO2 reduction priorities	**Pragmatic sustainability as conditional value**	
Personal contact; accessibility; responsiveness; quick feedback; single point of contact; close dialogue; high-frequency communication; proactive communication on price and delays; supplier fairness to small customers	**Trust through responsiveness, accessibility, and fairness**	**Relationship quality**
Trust via experience and competence; long-standing personal network; industry word-of-mouth; dense local network; established suppliers; personal familiarity; knowledgeable supplier contact; traditional in-person supplier relationships	**Trust through experience, familiarity, and competence**	
Relationship building effort; professional collaboration; information sharing; supplier development; multi-level relationship quality; process-oriented collaboration; joint testing; supplier's supplier coordination	**Commitment through collaborative routines**	
Single-supplier quotation norms; reliance on incumbents; low active search; existing network as starting point; customer specifications override choice; industry associations for supplier discovery; cooperative norms among Swedish foundries	**Network-embedded and informal SME buying behaviour**	
Testing and production risk; safety risk; high consequence of one-off production errors; bad inputs causing downtime; asymmetric risk where cheap components create expensive failures; defects affecting furnaces and personnel safety	**Performance and production risk**	**Perceived risk**
Limited supplier options; extreme supplier concentration; very limited switching ability; dependence on key scrap suppliers; lock-in to certified or specialized materials; supply interruption and dependency as small buyer	**Supplier dependency and switching risk**	
Demand uncertainty; long lead times; macro-cost stress; pandemic and war disruptions; sanctions and ethics-related switching; price increases; geopolitical supply disruptions; global low-cost competition	**Market, financial, and geopolitical risk**	
Trial deliveries; controlled experimentation; shared decision-making for major supplier changes; autonomy on low-risk items; multi-sourcing strategy; maintaining alternatives; lead and backup suppliers; documentation and traceability	**Risk mitigation through safeguards and redundancy**	
Full supply chain traceability; conflict material avoidance; supplier emission data; certification and compliance; documentation requirements; skepticism toward green claims; BAT rules and regulatory pressure; permits limiting experimentation	**Sustainability and compliance risk**	
Switching aversion; low switching frequency; staying with reliable suppliers; path-dependent routines; established suppliers retained unless something fails; reluctance to change when supply security and price are acceptable	**Depth of commitment to incumbent suppliers**	**Supplier selection outcome**
Price premium accepted for quality, delivery reliability, technical support, work environment, or greener products when customer-driven; refusal to pay for symbolic green logistics; higher cost tolerated if reliability and support improve	**Conditional willingness to pay a premium**	
Switching triggered by quality issues, poor access, delivery failure, greener alternatives, sanctions or ethics, loss of local competence, or major price differences; switching avoided when testing costs, certification, or process risk are high	**Switching readiness under bounded conditions**	

Table 2 - Coding Table

To make the coding logic auditable, Table 3 below provides one illustrative example per aggregate dimension, showing how a representative verbatim quote was condensed into a 1st-order code, abstracted to a 2nd-order theme, and consolidated under one of the four aggregate dimensions. The full coding tree is presented in Table 2.

Illustrative quotes (Participant)	**1st-order code**	**2nd-order theme**	**Aggregate Dimension**
"Delivery security is very important. … In production, you have to be flexible from week to week." (Participant 8) "We can't afford to make mistakes. We make everything one time only. So when material is missing, the whole machine stands still. Delivery reliability is what I check first." (Participant 1)	**Delivery reliability as first-checked criterion**	**Supply continuity and delivery security**	**Value-based selling & value drivers**
"THE COMPANY keeps a consignment inventory here on site… it ties us to them." (Participant 1) "We try to write a framework agreement once we've reached an understanding… that gives both sides predictability and makes the relationship more than just one transaction at a time." (Participant 8)	**Consignment inventory binds buyer and supplier operationally**	**Trust through collabora- tive routines**	**Relationship quality**
"A 50 SEK filter can ruin a 5,000 SEK casting. The risk isn't symmetrical, so we can never just chase the lowest price on consumables." (Participant 3) "If something burns or gets contaminated in the melt, you don't lose one part, you lose the whole batch. That's the worst thing that can happen to us." (Participant 8)	**Asymmetric downstream consequences of cheap inputs**	**Performance and production risk**	**Perceived risk**
"I will stick with the supplier I have always had. It has to be 500 SEK per ton cheaper before I will even start a serious conversation." (Participant 7) "Once you have become a main supplier with us, you have a lot of room to keep the business, provided you stay effective on supply and we get the daily orders to flow." (Participant 8)	**Default loyalty to incumbent until a major external trigger**	**Depth of commitment to incumbents**	**Supplier selection outcome**

Table 3 – Examples of how verbatim quotes were coded into 1st-order codes, 2nd-order themes, and aggregate dimensions.

4.1 Value-based selling and value drivers

The first dimension shows how respondents describe the sources of value they look for in suppliers beyond price. Five second-order themes emerged: supply continuity and delivery security, quality and process fit as a non-negotiable, cost discipline and total-value calculation, service support and technical problem-solving, and pragmatic sustainability as a conditional value.

4.1.1 Supply continuity and delivery security

Across all eight interviews, the single most consistent value driver was the supplier's ability to keep raw material and components flowing into production. Respondents framed this not as fast delivery in isolation but as a combination of reliability, predictable lead times and proactive communication when something departs from plan.

> *"Delivery security is very important. It is the logistics part. It is not the price that is most important. In production, you have to be flexible from week to week."*
>
> *— Participant 8*

> *"We can't afford to make mistakes. We make everything one time only. So when material is missing, the whole machine stands still. Delivery reliability is what I check first."*
>
> *— Participant 1*

> *"What was really tough during the pandemic and the war that ensued was that delivery times got much longer. Today, we can't get that scrap from Russia anymore; now it comes from Brazil, and that has caused problems both in terms of price and quality."*
>
> *— Participant 7*

Several respondents underlined that what matters most is not perfect on-time performance but timely communication when delivery slips, especially after the disruptions of COVID-19 and the war in Ukraine that they experienced.

> *"Even though the delivery issue is important, we feel that as long as you notify us and say it'll be late, that's more important. The world isn't perfect, machines break down, people get sick."*
>
> *— Participant 7*

Delivery reliability is the entry-ticket value driver in the steel and foundry SME context. It is judged less by raw on-time percentages and more by the supplier's ability to keep production running through transparent, real-time communication when conditions change.

4.1.2 Quality and process fit as a non-negotiable

Where delivery secures continuity, quality protects the firm from tumbling downstream costs. The respondents defined quality contextually, as "fit for our process" compared to generic specification, and described it as a component that is never traded off against price.

> *"Quality always comes first. You can never compromise on that, not when we're talking about the raw materials we use to make our castings."*
>
> *— Participant 7*

> *"Quality is what is important. If a part costs cheaper but the quality gets destroyed in the process, you put it in the melt and it burns too fast, or it gets dirty, it costs a lot more to repair than to buy a product of good quality."*
>
> *— Participant 8*

> *"A cheap filter can damage a 5,000 SEK part. So when I evaluate suppliers, quality comes before delivery, and only then price."*
>
> *— Participant 3*

> *"In our industry there are really only a few suppliers to choose from for foundry materials. So when we look at them, we look at price and at whether something more environmentally adapted has become available, but the material has to fit the melt first. Without that, the rest does not matter."*
>
> *— Participant 2*

For specialized producers, quality is also closely linked to process lock-in: once a material has been validated against an existing recipe or tooling chain, switching is expensive even when an alternative is technically equivalent.

> *"We very rarely switch from these large-scale [scrap supplier] plants because they've known for a long time what we want in their system. It would be a struggle if one of these major suppliers were to drop out and we had to find a completely new one."*
>
> *— Participant 7*

“ For the paste, we have worked it into our process and we have used it for fifteen years or so. As long as nothing goes wrong, we are not going to switch. It is not worth the risk..”

— Participant 4

Quality is a non-negotiable that works as both a technical and a relational factor. It is defined less by certificates than by demonstrated fit with the buyer’s specific process, which therefore creates strong advantages for established suppliers.

4.1.3 Cost discipline and total value calculation

Respondents repeatedly distanced themselves from a simplistic “cheapest wins” logic while acknowledging that, on commodity raw materials and at high tonnages, even small per-tonne differences become decisive. The dominant frame was total cost rather than unit price.

“Price itself is part of the equation, but it’s not entirely decisive in how we work. If the quality is the same and we can use it, the lower price always comes first, but the price has to be for exactly the same material.”

— Participant 7

“It’s more about the total cost, not just the product price. We have removed the transport costs, we don’t drive ourselves. Then maybe payment terms come in: someone offers 30 days, another offers 45 or 60. It’s when we produce and sell before we have to pay.”

— Participant 8

“We just switched from [an overseas graphite supplier to a Swedish one] and we save about 3,500 SEK per ton. At the volumes we run, that adds up fast, but we only switched because the quality stayed the same.”

— Participant 6

Price matters, but always in a comparative frame. The same material, same quality, all-in logistics and payment terms included. SMEs use price as a tiebreaker between functionally equivalent suppliers rather than as a primary selection criterion.

4.1.4 Service support and technical problem-solving

A recurring theme was the supplier's willingness to leave the role of "box-shifter" and step into a problem-solving partnership. Technical visits, joint testing, and informal advice were repeatedly named as concrete value drivers.

> *"What we appreciate is that they can come here and show us things, sit down with our guys in the foundry, and explain how the new pig iron behaves. That's worth more than a small discount on the invoice."*
>
> *— Participant 2*

> *"THE COMPANY is the only company in Sweden that sells the epoxy paste we need. Beyond just selling, they also help us figure out how to use it, and that's why we have stuck with them."*
>
> *— Participant 4*

> *"When we test new cutting boards, the supplier comes here, does the testing together with us, and then we get the connection before we make the decision to switch."*
>
> *— Participant 8*

> *"I've been up to [a big Swedish steel customer] several times when they've had a consultant on site who has redrawn and redesigned things they need to change, like castings. I haven't billed any of that time; instead, I've invested in the long term so they'll continue to see us as a good supplier."*
>
> *— Participant 7*

Technical service is treated as relational glue rather than a billable add-on. Suppliers who invest unpaid expertise in a customer's process are perceived as more valuable than those offering equivalent products at a slightly lower price.

4.1.5 Pragmatic sustainability as a conditional value

Sustainability came up as a value driver only under specific conditions. Although most respondents supported environmental responsibility, they were openly skeptical of high-end "green" labeling, particularly when these did not translate into measurable change in their own operations.

> *"There was a supplier who wanted us to book a special green DHL route. I said: why would I pay 580 SEK extra for shipping just because it's labelled green, when the procedure is the*

same? Neither as a private individual nor as a business owner do I pay for something that isn't there."

— Participant 7

"Green steel does not exist. It's just for show. We work with the highest end of high-spec steel powder and there is no production route today that I can call truly green at a price our customers will accept."

— Participant 5

"It will come in the future. We have done some of our emissions calculations and the suppliers will need to be able to produce the right data on their side, emission factors, transport. But today, the price level isn't there yet for new raw materials."

— Participant 8

However, where sustainability could be linked to operational gain, energy-cost reduction, regulatory compliance, transport optimization, it became a real value driver. Participant 2's foundry switched pig-iron suppliers in part because of the environmental profile of the new source; Participant 7 eliminated heating-oil consumption primarily as a cost-control measure that doubled as an emissions reduction.

So, we see that sustainability is welcomed as a co-benefit but rejected as a stand-alone reason to pay a premium. It becomes a genuine value driver only when bundled with cost, compliance, or operational improvement, which we label "pragmatic sustainability".

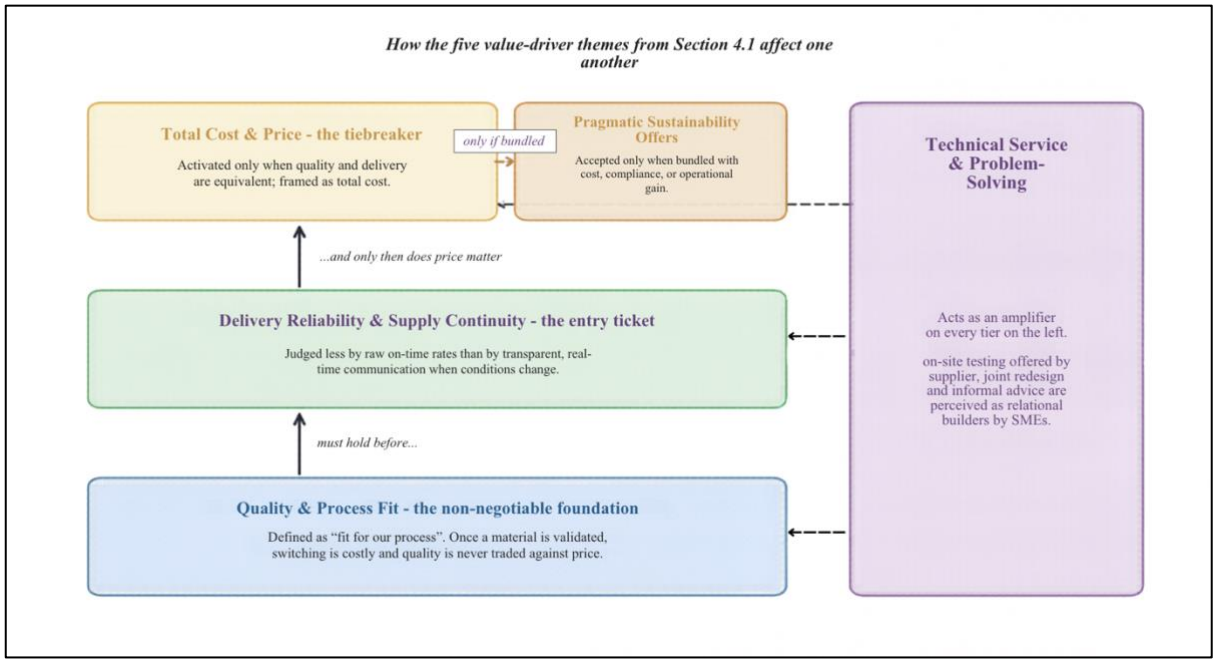


Figure 3 - Interplay of Value Drivers in Swedish Steel and Foundry SMEs

Figure 3 visualizes how the five value-driver themes identified in Section 4.1 relate to one another as a layered, not additive, structure rather than as a flat list of equally weighted criteria. Reading the figure from the bottom up, **quality and process fit** appears as the non-negotiable foundation: respondents across all eight interviews described quality as a binary qualifier rather than a trade-off variable, showed for instance in the asymmetric-cost logic articulated by Participant 3 ("A 50 SEK filter can ruin a 5,000 SEK casting") and the batch-loss framing by Participant 8 ("if something burns or gets contaminated in the melt, you lose the whole batch"). Layered immediately above sits **delivery reliability and supply continuity**, which acts as the entry condition for serious consideration: as Participant 8 put it, "delivery security is very important; it is not the price that is most important", and Participant 1 likewise foregrounded uninterrupted logistics (i.e. delivery security) over a lower price. **Total cost and price** is then positioned above. This box intends to show that price is evaluated against total cost of ownership and only differentiates between already qualified suppliers, as Section 4.1.3 presents. **Service and technical support** appears as a vertical amplifier cutting across all other layers, because respondents consistently described competent service as something that raises the perceived value of every other tier rather than substituting for it (Participant 7's incumbent loyalty dependency on responsive service; Participant 8's reliance on supplier technical visits). **Pragmatic sustainability** is drawn as a conditional overlay, included in the figure but tied to the **total cost and price**, because the data show it is only admitted as a value driver when bundled with cost saving, compliance, or operational benefit (4.1.5). The arrows in the figure are therefore not causal flows but priority signals: they show the order in which respondents pass through each criterion when evaluating a supplier, and the conditional logic that admits sustainability into the set only after the prior layers are met.

4.2 Relationship quality

The second aggregate dimension captures how trust, commitment, and informal social structures shape supplier evaluation in Swedish steel and foundry SMEs. Four themes emerged: trust through responsiveness and fairness, trust through experience and competence, commitment through collaborative routines, and network-embedded informal buying behavior.

4.2.1 Trust through responsiveness, accessibility and fairness

Respondents converged on the idea that trust is built and tested in everyday interaction, above all in how a supplier responds to an email, a question, or a problem.

> *"The most important thing for me is feedback. I need to know that my email hasn't just disappeared into cyberspace. Suppliers who are quick to respond and maintain that open dialogue, that's seen as a huge plus."*
>
> *— Participant 7*

> *"It should be easy for me to ask my questions and get an answer. That's what's most important. If I can't get a hold of someone, all the other criteria don't really matter."*
>
> *— Participant 8*

> *"If something goes wrong, I want a phone call before I get the invoice. A 70% price increase that comes through hidden in an order confirmation, that breaks the relationship."*
>
> *— Participant 7*

Trust is operationalized as responsiveness and procedural fairness. Respondents will tolerate problems but not silence. So, transparency about failure is a stronger trust signal than perfection itself.

4.2.2 Trust through experience, familiarity and competence

A second face of trust is built up over years of joint work. Several respondents described 20-year relationships in which the supplier's competence has become woven into the buyer's own production knowledge.

> *"After so many years in the industry, the personal aspects carry the most weight. You trust your old contacts; you have so many of them."*
>
> *— Participant 7*

"Trust is built over time. You can't manufacture it in a week. We've had THE COMPANY for years, they know how we work, and that history is part of what we are paying for."

— Participant 3

"Someone who not only sells but also knows the technical part, that's what you often want. There are many cases where the supplier has visited so many customers that they actually understand our production better than some of our own people."

— Participant 8

" It is their knowledge, that they show they really know their product, so that they are not just talking nonsense. And then that they take the time to be understanding when we are in panic mode and really need help, that they actually make sure to help and do not just promise and promise and then deliver nothing."

— Participant 4

Tacit expertise, which is both a value driver and a barrier to switching, is encouraged by long tenure. Trust here is less a feeling than an accumulated stock of shared understanding that would be costly to rebuild with a new supplier.

4.2.3 Commitment through collaborative routines

Where trust is the emotional component of relationship quality, commitment manifests in concrete operational routines: consignment inventories, joint development, framework agreements, and reciprocal flexibility

"THE COMPANY keeps a consignment inventory here on site. We use what we need, they invoice what we use, and they refill it. That removes a huge amount of friction, and it ties us to them."

— Participant 1

"We try to write a framework agreement once we've reached an understanding, price, volume, payment conditions, delivery conditions. That gives both sides predictability and it makes the relationship more than just one transaction at a time."

— Participant 8

"[A major Swedish industrial customer] called me when I was hiking in the mountains during the industrial vacation. Their analysis plant had burned down. We had never worked vacations before, but we stepped up, because in this kind of relationship, when they need us, we go."

— Participant 7

Commitment is materialized through routines that bind the parties operationally, not only contractually. Consignment stock and mutual extra-mile behavior signal a shift from transactional exchange to long-term partnership.

4.2.4 Network embedded and informal SME buying behavior

A theme that cuts across all eight interviews is the deeply informal, networked nature of SME buying in this industry. New suppliers are rarely sourced through tenders, they come through industry associations, word of mouth, and personal recommendation.

> *"We don't really actively seek out new suppliers that much, because we already have the big ones, for instance [big material supplier]. They have everything in stock everywhere, they know exactly what we need."*
>
> *— Participant 7*

> *"There's a foundry association where you can go and see what's there, and the foundries in Sweden help each other out. If I need something urgently, sometimes another foundry owner will pick up the phone and help me, even if they are technically a competitor."*
>
> *— Participant 8*

> *"We are basically four people in this company, and there are eleven steelmakers left in Sweden. Everyone knows everyone. You don't run a tender, you call someone you trust."*
>
> *— Participant 6*

> *"You almost have to go back and think you would like it to be the way it was 20 or 25 years ago, that you have that kind of relationship, that they come here and take a look at the foundry. I would never buy anything from someone just over the phone, never, nothing."*
>
> *— Participant 2*

Buying in this industry behaves less like a formal procurement process and more like an embedded social practice. Trust, reputation, and personal access matter more than structured supplier evaluation tools, a finding only weakly reflected in the original framework.

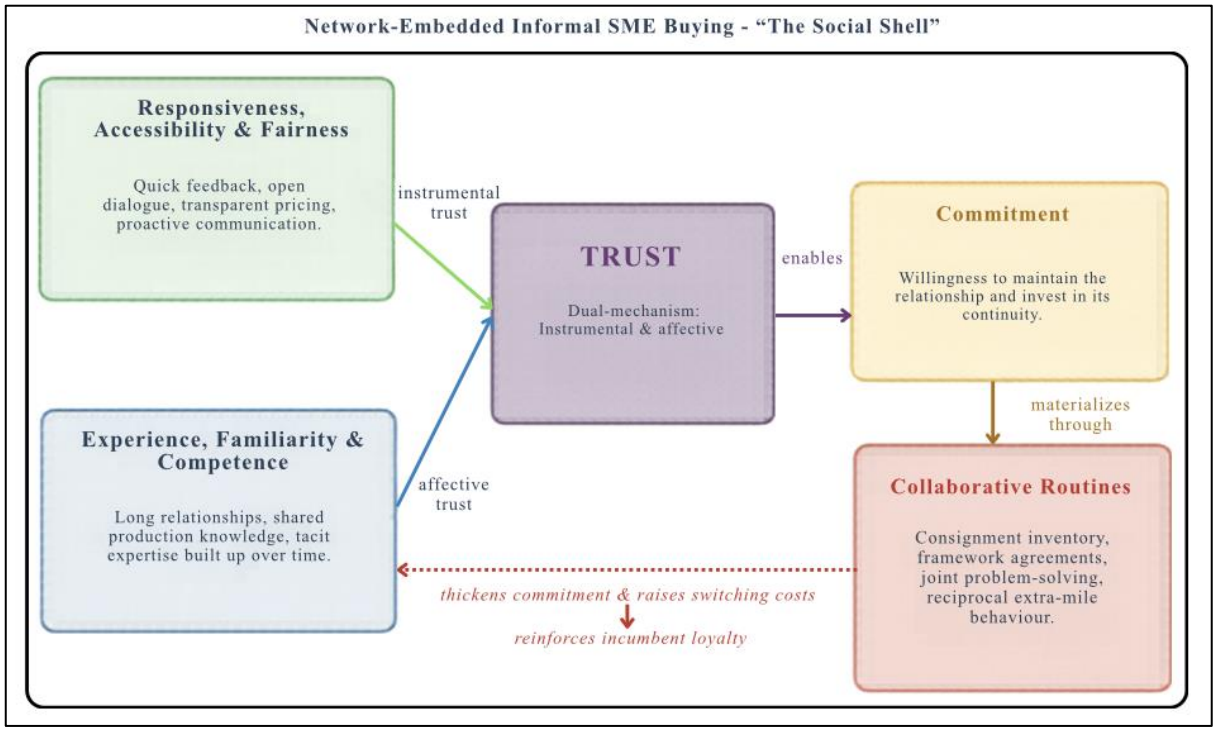


Figure 4 - Interplay of Relationship Quality Mechanisms in Swedish Steel and Foundry SMEs

This figure traces how the four relationship-quality themes from Section 4.2 connect into a self-reinforcing cycle rather than four independent inputs. On the left, two parallel sources of trust are shown feeding into a single construct: **trust**, constituting both instrumental and affective trust (4.2.1), grounded in Participant 7's framing of trust as a phone call before the invoice, Participant 8's emphasis on ease of contact, and Participant 2's description of pig-iron suppliers earning trust by being available when the melt recipe shifts; and trust through experience, familiarity and competence (4.2.2), exemplified by Participant 3's long tenure with THE COMPANY and Participant 8's account of suppliers knowing the buyer's production better than internal staff. The arrow from this combined trust construct points to **commitment** that in turn materializes into **collaborative routines** (4.2.3), reflecting how trust can enable commitment and therefore allow for collaborative routines to emerge. An example would be Participant 1's account about a consignment-stock arrangement with THE COMPANY that reduces friction and reinforces the ties between the businesses, in turn leading to incumbent loyalty. The reinforcing arrow shows how those same routines thicken trust over time, producing the feedback loop that anchors incumbents. **Network-embedded informal buying behavior** (4.2.4) is drawn as a surrounding shell rather than a separate box, because all respondents described the wider industry network of associations, word-of-mouth and small-

town familiarity as the environment in which these dual trust-commitment dynamics unfold. The effect is that the relationship quality in this setting produces high switching costs and default loyalty to the incumbent, which directly conditions the supplier-selection outcomes analyzed in Section 4.4.

4.3 Perceived risk

The third aggregate dimension organizes the perceived risks that respondents weigh when selecting and evaluating suppliers. Five themes emerged: performance and production risk, supplier dependency and switching risk, market/financial/geopolitical risk, risk mitigation through safeguards and redundancy, and sustainability and compliance risk.

4.3.1 Performance and production risk

The most immediate risk is operational, a defective batch or a missed shipment that stops a production line. Respondents framed this asymmetrically, small-cost inputs can trigger large downstream losses.

> *"A 50 SEK filter can ruin a 5,000 SEK casting. The risk isn't symmetrical, so we can never just chase the lowest price on consumables."*
>
> — *Participant 3*

> *"If something burns or gets contaminated in the melt, you don't lose one part, you lose the whole batch. That's the worst thing that can happen to us."*
>
> — *Participant 8*

Performance risk is the most concrete form of perceived risk. It is asymmetric and front-of-mind, which is why quality dominates price as a selection criterion (cf. 4.1.2).

4.3.2 Supplier dependency and switching risk

Several respondents work in highly concentrated input markets like, pig iron, specialty epoxy, certified scrap, where the realistic number of suppliers is small. Therefore, switching is perceived as risky in itself.

> *"There are only two or three pig-iron suppliers left in Sweden, and the market is shrinking. Switching one of them is not a casual decision, it changes our whole melt recipe."*
>
> — *Participant 2*

> *"THE COMPANY are the only ones in Sweden who sell the paste we use. If they disappeared tomorrow, we would have a serious problem."*
>
> — *Participant 4*

> *"We have around thirty main suppliers across powder metallurgy, and for some critical alloying elements there might be one or two viable sources globally. That concentration is itself a risk."*
>
> — *Participant 5*

Dependency risk is the other side of long-term commitment. The deep relationships create lock-in, and lock-in creates exposure. Respondents accept this trade-off but actively monitor for warning signs of supplier instability.

4.3.3 Market, financial and geopolitical risks

Macro-level risks were significant throughout the interviews and were often discussed with concrete reference to the war in Ukraine, sanctions on Russian inputs, and rising exposure to conflict-mineral supply chains.

> *"Tungsten went from 50 USD per kilo to 120, even 150. And then conflict minerals, the documentation requirements after the Russia issue and the situation in Congo are real constraints on where I can buy."*
>
> — *Participant 5*

> *"There used to be 50 steel producers in Sweden, and now there are eleven. Three foundries closed in the last two years because of the new BAT 2028 environmental requirements. That kind of consolidation is a market risk for everyone left."*
>
> — *Participant 6*

> *"The big steelworks can suddenly reposition and take all the scrap from us, because we are smaller and we buy smaller volumes. When that happens, we have to start the whole process of finding new sources again."*
>
> — *Participant 8*

Geopolitics, sanctions, regulation, and industry consolidation are not abstract macro factors for these SMEs. They directly determine who they can buy from at what price. These risks are outside the original framework but were mentioned by every respondent.

4.3.4 Risk mitigation through safeguards and redundancy

Respondents described an active range of mitigation behaviors: dual sourcing, buffer stock, framework agreements, and informal back-up contacts.

> *"We've learned since COVID that there are certain things we must always have on hand or keep a spare of. If a part breaks, we replace it from stock, send the broken one for repair, and put it back on the shelf for next time."*
>
> *— Participant 7*

> *"I will start to focus more on having alternative suppliers. They have to have their most important products covered by a back-up, it's a must, even when the main supplier is doing fine."*
>
> *— Participant 8*

> *"We carry five consignment inventories on site for the most critical inputs. That gives us a buffer of weeks if anything happens upstream."*
>
> *— Participant 5*

Risk mitigation is intentional, learned-from-experience, and increasingly proactive after COVID-19 and the war in Ukraine. It also reinforces the value of suppliers who can host consignment stock or coordinate dual-source arrangements.

4.3.5 Sustainability and compliance risk

Where sustainability appeared as an opportunity in 4.1.5, here it appears as a risk: regulatory pressure that can shut down operations, documentation burden that comes with no premium, and reputation risk if conflict-mineral exposure becomes visible.

> *"BAT 2028 forced three foundries to close because they couldn't afford the new filters. Their emissions were maybe one percent above the new threshold. That's not sustainability, that's regulation choosing winners."*
>
> *— Participant 6*

"We have to be able to show that the raw material has not come from the problem countries. If it comes from somewhere we don't want, we have a problem, even if the price is good."

— Participant 8

Sustainability is internalized as a compliance and reputation risk rather than as a value premium. The main question does not seem to be "how do we capture green value?" but rather "how do we avoid being caught on the wrong side of new rules?". The figure below helps visualize the interplay of the perceived risk mechanisms in Swedish steel and foundry SMEs.

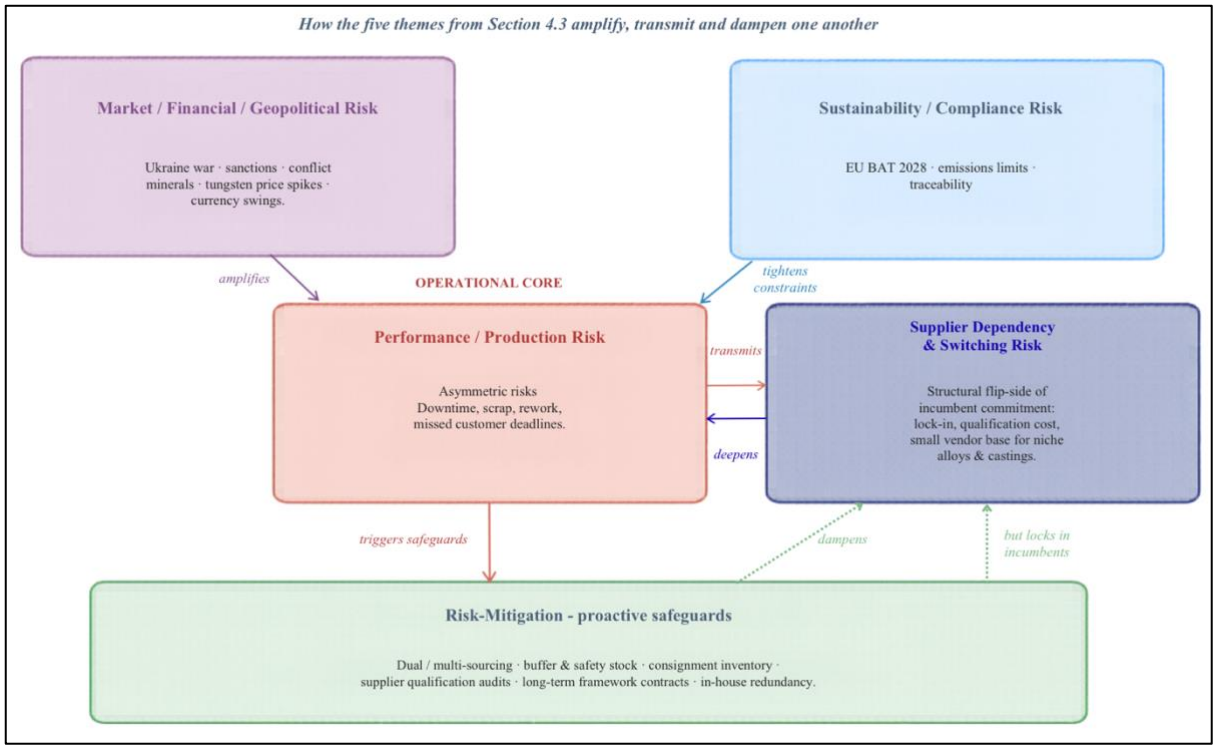


Figure 5 - Interplay of Perceived-Risk Mechanisms in Swedish Steel and Foundry SMEs

The figure positions **performance and production risk** (4.3.1) at the center as the operational core toward which the four other risk-mechanism themes (in)directly flow, reflecting the asymmetric-cost logic repeated across the data set (Participant 3's filter versus casting example; Participant 8's batch-loss account; Participant 2's melt-recipe fragility). Three external risk categories are drawn as inbound pressures.

Market, financial and geopolitical risk (4.3.3) is shown amplifying operational risk through input volatility and consolidation, reflected in Participant 5's tungsten price-spike and conflict-mineral reporting, Participant 6's reference to BAT 2028 closures, and Participant 8's account

of large steelmakers crowding out SME access to scrap. **Sustainability and compliance risk** (4.3.5) is drawn as a downward pressure tightening the operational space because, as Participants 6 and 8 emphasized, the dominant SME framing is regulatory exposure rather than green-premium opportunity.

Furthermore, **Supplier dependency and switching risk** (4.3.2) act as a form of a pathway through which external disruptions affect operations. For example, Participant 2 highlighted reliance on a concentrated pig-iron supply, Participant 4 noted dependence on a single paste supplier, and Participant 5 pointed to constraints in globally sourced alloys. These dependencies make it harder for companies to respond to disruptions, as switching suppliers is often slow due to lock-in effects and strict qualification processes.

Risk mitigation (4.3.4) functions as a buffering mechanism. Strategies such as dual sourcing and consignment inventory (mentioned by Participants 5, 7, and 8) can reduce operational risk. However, these same strategies can unintentionally strengthen relationships with existing suppliers, reinforcing dependency and increasing switching risk over time.

Overall, the figure illustrates that perceived risk operates as part of an interconnected system, where mitigation strategies and supplier relationships influence risk exposure just as much as external market conditions do.

4.4 Supplier selection outcome

The fourth aggregate dimension addresses the actual outcome of supplier evaluation: the depth of commitment to incumbents, willingness to pay a price premium, and switching readiness. Three themes were identified.

4.4.1 Depth of commitment to incumbent suppliers

Despite continual market scanning, respondents overwhelmingly stay with proven incumbents. Switching is rare, and when it happens it is normally driven by a major external shock rather than by competitive bidding.

> *"I will stick with the supplier I have always had. It has to be 500 SEK per ton cheaper before I will even start a serious conversation, and even then, I want to know it's exactly the same material."*

— *Participant 7*

> *"Once you have become a main supplier with us, you have a lot of room to keep the business, provided you stay effective on supply and we get the daily orders to flow."*
>
> — *Participant 8*

Incumbent advantage is large in this market. Buyers reward reliability and familiarity with excessive loyalty, which is rational given the asymmetric risks of switching.

4.4.2 Conditional willingness to pay a premium

A premium is paid, but only when it can be linked back to a tangible value driver: longer life of consumables, better technical support, faster response, or reduced downstream rework.

> *"Even if a brand is a little more expensive, if it's better quality and lasts longer and creates a better work environment, we go with it. That's part of the decision."*
>
> — *Participant 7*

> *"Higher price with much better quality and value, and less risk, yes, we accept that many times. But it has to be the total cost calculation, not the headline price."*
>
> — *Participant 8*

Willingness to pay is conditional and traceable. SMEs do pay premiums, but only against a clearly attributable operational benefit, not for image or for un-evidenced sustainability claims.

4.4.3 Switching readiness under bounded conditions

When switches occur, they are nearly always triggered by either supplier failure (communication breakdown, repeated quality issues, opportunistic price moves) or by an external shock that forces re-sourcing (geopolitics, regulation, supplier exit).

> *"We switched to [a Swedish graphite supplier] from the Brazilian supplier because we save 3,500 SEK per ton and the quality stayed the same. That's a clear case, but it took a long evaluation, not a quick negotiation."*
>
> — *Participant 6*

> *"If after the third email I still haven't received a response, then either they replace the person at the supplier, or we replace the supplier. That's where I draw the line."*
>
> — *Participant 7*

Switching readiness is bounded, SMEs are loyal by default but decisive when communication breaks down or when the macro environment forces a change. The trigger is rarely a purely competitive bid.

5 Analysis

This chapter interprets the empirical findings of Chapter 4 considering the literature reviewed in Chapter 2 and addresses the research question: How do Swedish SMEs in the steel and foundry industry perceive and prioritize value and risk when selecting and evaluating suppliers?

5.1 Revisiting the preliminary framework

The preliminary framework introduced in Chapter 2 conceptualized supplier selection in Swedish steel and foundry SMEs as the joint product of three blocks (i.e. value drivers, relationship quality, and perceived risk), operating within an organizational buying behavior shell and feeding into a supplier-selection outcome (Webster Jr. & Wind, 1972). The empirical material broadly supports this architecture. All four aggregate dimensions emerged from the data, and map cleanly onto the three input blocks plus the outcome block.

However, the data also indicate three areas where the preliminary framework is incomplete. (1) The framework treats sustainability as a value driver, whereas the respondents mostly experience it as a compliance and reputation risk. (2) The framework underweights the role of operational routines (consignment inventory, framework agreements, informal SME networks) that are central to how value and risk are actually managed in this industry. (3) The geopolitical and regulatory shocks, although they were categorized as "external", were referenced so often that they should be elevated from a residue to a first-class construct.

5.2 Lapierre integrated with Commitment-Trust-Risk as an extended lens

To deepen the interpretation, this study introduces Lapierre's (2000) value driver framework as a complementary lens. Lapierre proposes thirteen value drivers grouped into three categories, product-related, service-related, and relationship-related. This typology is well

suited to this thesis because, unlike purely transactional value-based selling models (Terho et al., 2012), it explicitly includes relational and service drivers alongside product attributes.

Lapierre's framework is then integrated with the Commitment-Trust theory of Morgan and Hunt (1994) and the Perceived Risk literature (Abosag et al., 2016; Liu et al., 2010; Mitchell, 1995), giving a single interpretive structure in which value drivers, trust/commitment mechanisms, and perceived risks jointly determine the selection outcome. This integration is consistent with calls in recent B2B research, such as Töytäri and Rajala (2015), to move beyond divided treatments of value and risk (Töytäri & Rajala, 2015).

5.3 How findings map onto value drivers

Mapping the findings of Chapter 4 onto Lapierre's (2000) thirteen drivers produces a clearly tiered picture, and the prioritization between tiers is itself one of this study's central findings. Highest-priority drivers (volunteered without prompting by every respondent and consistently ranked first when respondents were asked to rank what matters) are reliability of supply, product quality, trust, responsiveness, technical competence, and solidarity. These are the non-negotiable filters: a supplier that fails on any one is removed from the choice set before any other driver is considered. Second-priority drivers (acknowledged but treated as differentiators only between already qualified suppliers) include flexibility, alternative solutions, and time/effort to deal with the supplier. These shape the choice between candidates but do not by themselves admit or exclude a supplier.

Lowest-priority or rejected drivers are supplier image and conflict-management capability: respondents described supplier image as "just for show" (Participant 5) and dismissed formal conflict mechanisms in favor of relational repair. The prioritization runs in one direction only: respondents did not describe situations in which a strong image or flashy marketing compensated for weak reliability or quality, whereas they repeatedly described situations in which strong reliability and trust compensated for a higher price (4.4.2).

Two drivers in our context behave differently from Lapierre's original specification. Customization appears as a double-edged value driver, it creates competitive advantage for the supplier while also locking the buyer in (cf. Section 4.3.2), generating dependency risk. Price, by contrast, behaves more like a tiebreaker among functionally equivalent suppliers than as a primary value driver, aligning with Töytäri and Rajala's (2015) argument that experienced

industrial buyers progressively migrate from price-based to value-based logics as relationships mature.

So, this structure suggests that in capital-intensive SME settings such as in this industry, perceived value is anchored first in safeguarding operational continuity and only secondarily in enhancing efficiency or image. We notice that in Lapierre's (2000) factors, reliability, quality, responsiveness and technical competence function less as separate value drivers and more as a "minimum value bundle" where suppliers below that minimum are not even considered. Later, this "bundle" is evaluated under dependency and performance risk, which explains why customization and long-term fit create both value and lock-in for buyers.

5.4 Trust, commitment and mechanisms of relationship quality

Section 4.2 showed that trust in this context is built through two distinct mechanisms, and that respondents prioritized them in a recognizable order: everyday responsiveness (procedural fairness, communication speed) is the first trust signal a supplier must pass, and only once that floor is in place does accumulated experience (years of joint problem-solving) thicken trust into commitment. Morgan and Hunt's (1994) commitment-trust theory predicted exactly this dual path, instrumental trust through reliable behavior and affective trust through relationship duration, and the data strongly support both. The empirical addition is that consignment inventory and other operational routines act as "commitment-thickening" factors that simultaneously deepen the relationship and create switching costs, helping to explain the high incumbent loyalty displayed in 4.4.1. In the prioritization logic that emerges from the data, responsiveness is the qualifier, tenure is the amplifier, and operational routines are the lock-in. A supplier without responsiveness cannot accumulate the tenure that makes long-term commitment durable in the first place.

Where our study extends the literature is in showing how strongly commitment is embedded in informal SME networks (4.2.4). In a market with eleven steelmakers and a shrinking pool of foundries, supplier reputation circulates rapidly through industry associations and personal networks, making formal procurement processes both unnecessary and inefficient.

5.5 Perceived risk and geopolitical-regulatory layer

The risk landscape that emerges from Chapter 4 is denser than the preliminary framework anticipated, and the respondents prioritize its layers asymmetrically. Performance risk (4.3.1) and dependency risk (4.3.2) align well with Mitchell's (1995) classical typology, and are treated as the first-order concerns in every interview, because they translate directly into batch loss, production stoppage, or melt-recipe failure. The asymmetry observed by participant 3, a 50 SEK filter ruining a 5 000 SEK casting, is a typical case of perceived consequence outweighing perceived likelihood (Liu et al., 2010), and it explains why quality is a non-negotiable in the value tier (5.3). Geopolitical and regulatory pressures are then treated as second-order concerns: respondents recognize them as binding on who they can buy from, but they enter the decision through the first-order channels (price, availability, certification) rather than as independent criteria. However, two layers are not fully captured by the preliminary framework.

First, geopolitical and regulatory pressure (4.3.3 and 4.3.5) emerged as a structural driver of supplier selection in their own right. The post-2022 redirection of pig iron from Russia and Ukraine to Brazil, the BAT 2028 emissions threshold that has already closed three Swedish foundries, conflict-mineral documentation requirements after Congo and Russia, and the broader consolidation of the Swedish steel base from fifty to eleven producers. These are not background variables but active decision parameters. They warrant treatment as a distinct construct that mediates between the macro environment and supplier choice.

Second, opportunism risk appeared in a softer form than the literature of Abosag et al. (2016) predicts. Rather than openly cheating, respondents described issues such as undisclosed price increases (Participant 7's account of a 70% price jump surprise quote) or subtle margin-creep over time (Participant 8). However, the mitigation, is highly relational: respondents do not respond by writing tighter contracts but by raising the issue, asking for transparency, and, if it does not get solved, switching the contact person or, ultimately, the supplier.

5.6 Engaging with Negative and Disconfirming Cases

Qualitative rigor requires deliberate engagement with cases that run against the dominant pattern, both to test the boundaries of the interpretation and to surface mechanisms the main narrative leaves implicit (Patton, 2015). Three negative or disconfirming cases stand out in the present data set.

5.6.1 Trust does not always reduce perceived risk

The literature on commitment-trust by Morgan and Hunt (1994) and on perceived value in B2B relationships by Lapierre (2000), treats trust as a mechanism that lowers perceived risk and stabilizes relationships. Participant 7's account of an undisclosed 70% price increase by a long-tenured incumbent supplier runs against this. The supplier had been trusted for years, the relationship was dense, and yet the trust did not prevent the breakdown. Two observations follow. First, what was breached was not technical performance but procedural transparency, suggesting that trust in this context is more fragile against opaque pricing than against delivery slips. Second, the rapid willingness of Participant 7 to downgrade the relationship after the breach shows that long tenure does not by itself produce immunity from switching; it produces a higher threshold that, once crossed, is crossed decisively. The case refines, rather than overturns, commitment-trust theory: trust reduces the probability of opportunism being read into supplier behavior, but does not by itself reduce the consequences of opportunism once identified.

5.6.2 A clearly valued driver does not predict purchase

Section 4.1.5 and 4.3.5 already identified pragmatic sustainability as a contingent value driver. Participant 5's account sharpens this into a negative case: green-steel premiums are recognized, articulated, and rejected as grounds for paying more, even when supplier image and reputational marketing actively foreground them. This is a direct counter-instance to a simple Lapierre-style value-driver-to-purchase mapping, in which a valued attribute should command a price premium. The case shows that the path from value driver to purchase is conditional on bundling: a sustainability driver only converts into willingness-to-pay when it is coupled with cost saving, compliance protection, or operational benefit, as the layered figure in Section 4.1 already implied.

5.6.3 Trust did not lock in the buyer

Participant 6's account of switching to a Swedish graphite supplier after a long incumbency, based on a 3,500 SEK-per-ton saving with proven equivalent quality, runs against the dominant 4.4.1 pattern of incumbent loyalty. The case clarifies the precise scope of the loyalty effect documented elsewhere: incumbency holds when alternatives cannot match on quality and reliability at sufficiently lower cost. Once an alternative clears the technical floor and the cost gap is large enough to be operationally meaningful, even a long-standing supplier can be replaced. This refines the framework's prioritization logic by showing that the loyalty premium is finite and measurable, rather than open-ended.

Taken together, these negative cases sharpen the contribution of this study in three ways. They show that the prioritization surfaced in Sections 5.3 to 5.5 is conditional rather than absolute; that trust, value and commitment operate as probabilistic filters rather than deterministic causes; and that the revised framework presented in 5.7 should be read as a set of default trajectories that the data describe in most cases, not as a deterministic model of every supplier choice.

5.7 Connecting the Empirical Findings

5.7.1 The revised conceptual framework

Building on the empirical outcome patterns in chapter 4, this section presents a revised conceptual framework of SME supplier selection outcome in the Swedish steel and foundry context. The framework is derived from the three supplier selection outcome themes (Depth of commitment, conditional willingness to pay a premium and conditional switching readiness) and the prioritization logic developed in Sections 5.3 to 5.5, and therefore constitutes an empirically grounded contribution that visualizes how value perceptions, relationship quality and perceived risk interact in practice.

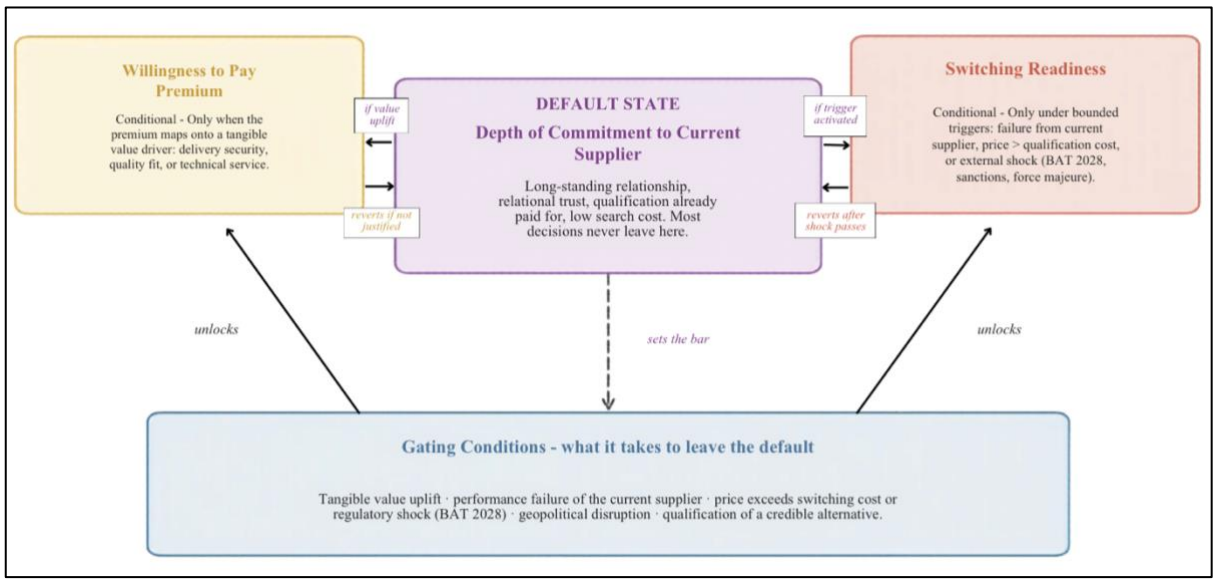


Figure 6 – Revised Conceptual Framework, Interplay within supplier selection outcome

The framework represents the three supplier selection outcome themes from Section 4.4 as a single decision logic with one default trajectory and two conditional deviations. The central box, “Depth of commitment to current supplier”, is drawn as the baseline state because the dominant pattern across respondents was to remain with a proven incumbent as long as the relationship performs acceptably. Participant 7’s 500 SEK-per-ton threshold and Participant 8’s description of giving the “main supplier room to keep the business” exemplify this default orientation towards loyalty under stable conditions.

The blue “gating conditions” box below the default state captures what it takes for the SME buyer even to consider moving away from this baseline. These conditions include clear performance failure of the current supplier, material price changes that exceed switching and qualification costs, and major external shocks such as regulatory changes or geopolitical disruptions that reconfigure what is an acceptable supplier profile. In other words, the buyer first asks whether any alternative can clear a technical and risk threshold before questions of price or additional value are opened.

Two branches deviate from this baseline. The upward branch, conditional willingness to pay a premium (4.4.2), represents the situations in which premium pricing is accepted, but only when traceable to a clear value driver such as longer consumable life, distinctive technical support or reduced rework (Participant 7 on quality-driven brand choice; Participant 8 on total-cost calculation). This branch therefore visualizes that willingness to pay more is dependent, not general (i.e. a valued attribute converts into a premium only when bundled with operational or financial benefits), which aligns with and sharpens the idea of pragmatic sustainability and other conditional value drivers identified earlier.

The downward branch, “switching readiness under bounded conditions” (4.4.3), represents the comparatively rare exits from an incumbent relationship, triggered by communication breakdown or major external shock rather than by competitive bidding (Participant 6’s graphite-supplier switch driven by a 3,500 SEK per ton saving with proven equivalent quality; Participant 7’s three-email threshold for replacing a supplier; Participant 1’s account of pricing transparency as a switching trigger). Together, the three branches show that supplier selection outcomes are heavily path-dependent: incumbents are advantaged by default, and both premium-payment and switching behavior require specific and clear triggers that overcome the baseline pull of loyalty. However, the branch also shows that loyalty is strong but limited: once the cost or transparency gap exceeds a meaningful threshold, even long-standing suppliers can be replaced.

Furthermore, as discussed in Section 5.6, the framework should be interpreted as a set of default paths rather than as a deterministic model of every supplier event. The negative and disconfirming cases, such as Participant 7’s experience of a trust breach that did not prevent switching, Participant 5’s explicit rejection of green-steel premiums despite recognizing their value, and Participant 6’s incumbent switch once a clear saving was demonstrable, mark the boundaries of each path and highlight that trust, value and commitment operate as probabilistic

filters, not guarantees. In this sense, the revised framework visualizes how SME buyers in this context typically move between loyalty, conditional premium payment and switching, while the outlier trajectories in 5.6 show when and how these patterns break.

5.7.2 Value Drivers' Importance

Bringing the analysis together, this study also proposes a framework that tiers the value drivers according to empirical importance and adds a parallel column of contextual factors that emerged from the data but lay outside the original conceptual structure. The resulting framework is presented in Figure 7.

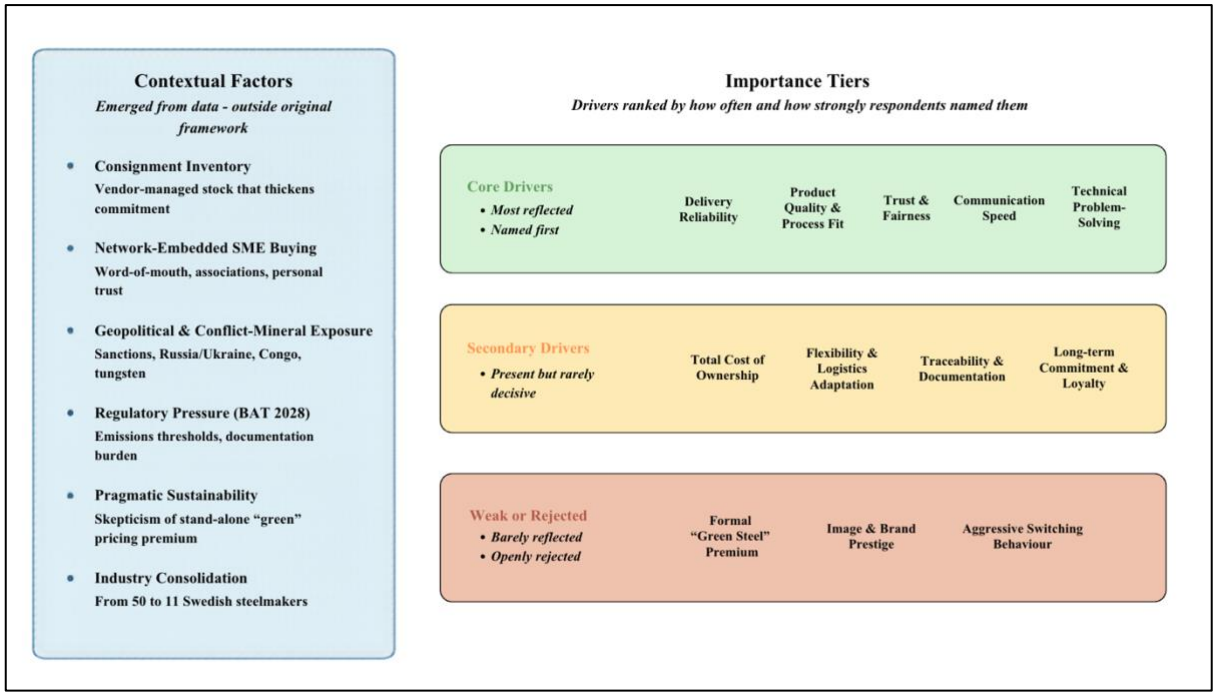


Figure 7 – Different Value Drivers and Their Importance

On the right-hand side of Figure 7, the green tier collects the value drivers that were most strongly reflected in the data. These constructs appeared in every interview and were typically named first when respondents were asked to rank what matters. The yellow middle tier collects drivers that were present but treated as secondary. These drivers shape the decision but don't override the green-tier criteria.

The red top tier collects drivers that surfaced only weakly or were openly rejected. The smallness of this tier is itself a finding, Swedish steel and foundry SMEs do not behave like price-driven, image-conscious commodity buyers, even though much of the academic literature implicitly assumes they should.

On the left-hand side of Figure 7, six contextual factors are listed that emerged from the data but did not fit comfortably inside the original framework. These are not value drivers in Lapierre's (2000) sense; they are situational features of the Swedish steel and foundry SME landscape that condition how the value drivers themselves are weighted. Future framework iterations could either incorporate them as moderators or treat them as a separate contextual layer, as we have done here.

6 Conclusion

This chapter brings together the main empirical insights from the study, directly answers the research question, and reflects on what the findings imply for how Swedish steel and foundry SMEs perceive and prioritize value and risk when selecting suppliers.

This study set out to answer the research question: How do Swedish SMEs in the steel and foundry industry perceive and prioritize value and risk when selecting and evaluating suppliers? To address this question, we adopted a theory-informed inductive design. Eight semi-structured interviews were conducted with managers, owners, and purchasing professionals across foundries and steel-processing firms ranging from four to roughly one hundred and ten employees. The data were analyzed through Braun and Clarke's (2006) thematic analysis nested within Gioia et al. (2013) inductive coding logic, producing four aggregate dimensions, sixteen second-order themes, and a tiered revised framework.

The empirical findings show that in this context, value is articulated less through price and image and more through a set of operational and relational drivers: delivery reliability, product and process-fit quality, trust built through responsiveness and tenure, communication speed, and technical problem-solving support. Price is acknowledged as a tiebreaker among functionally equivalent suppliers, but rarely as a primary criterion. Sustainability is welcomed as a co-benefit but rejected as a stand-alone premium, a stance we have labelled pragmatic sustainability.

Risk in this industry is perceived as multilayered. Performance risk and supplier dependency risk align with classical typologies, but two contextual layers extend the picture. Geopolitical and regulatory pressures, sanctions on Russian and Ukrainian inputs, BAT 2028 emissions thresholds, conflict-mineral documentation, and the consolidation of the Swedish steel base from fifty to eleven producers, actively constrain who SMEs can buy from at what price. Opportunism risk appears in subtler forms (undisclosed price increases, margin creep) and is mitigated through relational rather than contractual responses.

Supplier selection is best understood as the combined result of empirically linked value drivers, dual-mechanism trust and commitment, and a multilayered risk landscape, all embedded in informal SME networks and conditioned by a small set of contextual factors that the original framework did not anticipate, according to the study, which synthesizes value and risk. The revised framework presented in Figure 6 captures this interpretation.

In direct response to the research question, Swedish steel and foundry SMEs perceive value primarily as operational continuity and relational trust, prioritize reliability and quality above price, treat sustainability as a compliance question rather than a value premium, and weigh risk through an asymmetric, geopolitically sensitive lens. They evaluate suppliers through a hybrid of formal criteria and informal, network-embedded reputation, and they remain loyal to incumbent suppliers unless communication breaks down or external shocks force resourcing. The study thereby delivers a context-specific account of supplier selection that complements, but also extends, the existing B2B and value-based selling literature.

7 Discussion

This chapter situates the study's findings and revised conceptual framework within existing literature, elaborates the theoretical and practical contributions, acknowledges limitations such as sampling and scope, and outlines avenues for future research on SME buyer-supplier relationships in mature industrial markets.

7.1 Theoretical contribution

The study makes three theoretical contributions. First, an integrated buyer-side account of value, trust and risk in a single empirical setting. Prior work has treated value-based selling (Lapierre, 2000; Terho et al., 2012; Töytäri & Rajala, 2015), Commitment-Trust theory (Morgan & Hunt, 1994) and perceived risk (Abosag et al., 2016; Liu et al., 2010; Mitchell, 1995) as largely separate research streams. Each stream has been refined in considerable depth, but typically in isolation and predominantly from the supplier-side or seller-management perspective. What has remained underspecified is how these three lenses interact inside the head of an actual industrial buyer when a supplier decision is being made. This thesis adds an empirically grounded account of that interaction: value drivers define what is at stake in a given purchase, trust and commitment determine which suppliers are credibly able to deliver that value, and perceived risk filters the resulting choice set down to the few suppliers that the buyer is actually willing to commit to. The contribution is therefore not the identification of new constructs, but an integrated, buyer-side specification of how the constructs already in the literature combine into one decision logic, demonstrated on eight Swedish steel and foundry SMEs. This challenges the implicit assumption in much of the existing literature that any one of the three blocks can be analyzed in isolation without misrepresenting how industrial SME buyers actually decide.

Second, a tiered re-specification of value drivers for industrial SMEs. Existing value-based selling research, including Lapierre's (2000) original thirteen value drivers and subsequent work by Terho et al. (2012) and Töytäri and Rajala (2015), tends to treat value drivers as a relatively flat list and has been developed predominantly in larger-firm or service-oriented

contexts where image, brand premium and formal sustainability positioning carry weight. The present findings show that this flat treatment does not survive contact with capital-intensive, process-locked industrial SMEs. Across the eight cases, the drivers separate clearly into a core tier (delivery reliability, product quality and process fit, trust and fairness, communication speed, technical problem-solving), a secondary tier (total cost of ownership, flexibility and logistics adaptation, traceability and documentation, long-term commitment and loyalty) and a weak or rejected tier (formal "green steel" premium, image and brand prestige, aggressive switching behavior). The contribution beyond prior work consists therefore of two additional aspects. The thesis (1) shows that Lapierre's thirteen drivers are not all of equal status for this type of buyer, and (2) specifies the empirical hierarchy that does hold, with a clear empirical basis for why image-driven and price-led drivers occupy the weakest tier. This re-weighting indicates that value-based selling theory cannot be transferred unmodified from larger-firm and service settings to industrial SMEs without recalibrating the relative importance of its core constructs.

Third, a contextual layer of "gating conditions" that moderates the entire decision logic. B2B buying and relationship-marketing research has long acknowledged that context matters, but contextual factors are usually treated either as background description or as separate control variables added to dual value, trust and risk models. What is rarely done is to specify, empirically, which contextual conditions actually shift the threshold at which buyers leave a default state of commitment to an incumbent. The present study identifies six such conditions in the Swedish steel and foundry SME setting: consignment inventory arrangements, network-embedded informal buying routines, geopolitical and conflict-mineral exposure, regulatory compliance pressure (notably BAT 2028 emissions thresholds), pragmatic sustainability orientations and industry consolidation dynamics. In the revised conceptual framework (Figure 6), these are positioned as gating conditions that set, and at times shift, the threshold at which a buyer exits the default state of deep commitment to an incumbent supplier and "unlocks" switching readiness. The contribution beyond existing work is thus to make context analytically explicit rather than residual: instead of describing contextual factors alongside the framework, the thesis embeds them inside the framework as a moderating layer that operates at the level of the decision process as a whole. This calls for more attention to industry-specific and institutional conditions, in particular regulatory and geopolitical ones, in future research on SME buyer behavior in industrial markets, and provides a concrete starting point for theorizing contextual moderators in B2B SME research.

7.2 Practical implications

For supplier-side managers, the findings translate into a clear hierarchy of investment. Reliability, communication speed, and visible technical competence are the currencies that win and retain Swedish steel and foundry SME accounts. Spending on image, sustainability marketing, or aggressive price promotions is unlikely to be rewarded. Suppliers who can offer consignment inventory, joint problem-solving visits, and proactive notification of supply disruptions will outperform those who optimize purely on transactional metrics.

For buyer-side SME managers, the findings suggest that the informal, network-embedded buying practices that dominate the industry are simultaneously a strength and a blind spot. Strength, because they minimize transaction costs and reward long-term loyalty. Blind spot, because they leave firms exposed when key relationships fail or when external shocks (geopolitics, regulation) force re-sourcing. The data point to a realistic recommendation: maintain the deep incumbent relationships that drive value today while explicitly documenting back-up suppliers and escalation procedures for the shocks that history shows arrive every few years.

For policymakers and trade associations, the study's most pointed implication concerns the costs of regulatory thresholds such as BAT 2028. Several respondents reported foundry closures driven by emissions thresholds that, while environmentally well intentioned, are difficult for sub-fifty-employee firms to meet. Targeted transition support, capital subsidies for filtration upgrades, phased compliance windows, or shared-asset arrangements between adjacent foundries, could reduce the rate of consolidation without weakening the underlying environmental objective.

7.3 Limitations

Several limitations should be acknowledged. First, the study is based on eight interviews with Swedish steel and foundry SMEs. While the sample provides reasonable breadth across firm size, sub-industry and role, it does not claim statistical representativeness; the findings are best understood as an analytical generalization rather than a population-level estimate.

Second, the interviews were conducted in Swedish and several transcripts contained automated translation artefacts. Quotations were lightly edited for readability where the original meaning was unchanged, but a small amount of nuance may have been lost in the translation pipeline.

We mitigated this by cross-checking themes across multiple respondents and by preserving original wording wherever the meaning was clear.

Third, the study relies on a single round of interviews and therefore captures respondents' supplier-selection logic at one point in time. The geopolitical and regulatory landscape, particularly around Russian/Ukrainian sourcing, conflict-mineral regulation, and BAT 2028, is in active change. The significance of contextual factors identified in Figure 7 may therefore evolve, and the weighting of value drivers may shift as the market changes further.

Fourth, by focusing on the buyer side, the study captures supplier selection from a single perspective. A dual design, in which both buyers and their key suppliers are interviewed, would allow stronger inferences about how relational mechanisms actually operate.

Fifth, and importantly, several respondents were recommended to the study through the collaboration partner, referred to throughout this thesis as THE COMPANY. Importantly, not all of these participants have an ongoing commercial relationship with THE COMPANY. Rather, they were suggested by the partner because they were considered representative actors within the Swedish steel and foundry SME market. Given the niche and tightly connected nature of this market, the partner also served as a necessary contact bridge to facilitate access to relevant firms that would otherwise be difficult to reach.

Two consequences follow. First, although the sample includes firms beyond the partner's direct commercial network, it may still over-represent SMEs that are visible or known within the partner's ecosystem, which could influence observed attitudes toward trading relationships and intermediary-style sourcing. This may, for instance, affect findings related to incumbent loyalty, trust formation, and the role of long-tenured relationships. Second, although interviewees were assured of confidentiality and were interviewed without any representative of the partner present, social desirability bias could in principle have led some participants to moderate criticism of trading-partner practices.

We mitigated these risks in three ways: by deliberately broadening the sample beyond the partner's network through LinkedIn outreach, association contacts, and snowball sampling; by purposively varying firm size, sub-sector position, and respondent role; and by explicitly probing for negative cases (e.g., price-transparency breaches, switching events, and lock-in frustrations), several of which were retained verbatim in the analysis. Nevertheless, the possibility that the partner's involvement in respondent identification shapes the texture of the

findings cannot be fully eliminated and should be considered when transferring the revised framework to settings without a comparable intermediary.

7.4 Suggestions for further research

Four approaches for future research follow naturally from these limitations and findings. First, dual studies pairing buyer and supplier accounts of the same relationship would test whether the trust mechanisms and commitment routines identified here are perceived symmetrically by both sides.

Second, comparative research across other steel and foundry industries would help establish how much of the present framework is Sweden-specific and how much travels. Markets that share many structural features like, shrinking supplier bases, BAT-driven regulatory pressure, post-2022 sourcing reorientation, but differ on industrial-policy traditions and SME-network density. A comparative design would allow the contextual factors of Figure 6 to be tested as moderators.

Third, considering the rapid changes in geopolitical and regulatory forces, longitudinal designs are necessary. Following the same firms over the BAT 2028 steps and through the next stage of conflict-mineral regulation would allow for an argument of causality about the gradual migration of risk perceptions into supplier-selection behavior.

Fourth, mixed-methods studies that translate the tiered value-driver structure of Figure 7 into a quantitative survey instrument would enable larger-sample testing. Such an instrument could measure the relative weights of the green, yellow, and red tiers across firm size, sub-industry, and country, and would help discriminate between drivers that are universally important and those that are conditional on context. This would also establish a foundation for benchmarking that practitioner audiences, especially supplier-side commercial teams and trade associations, might use.

Taken together, these directions would consolidate the contribution made here: a context-specific, empirically grounded re-reading of value and risk in Swedish steel and foundry SME supplier selection that opens the conversation about how industrial buyers decide.

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Appendix

Appendix 1 – Interview Questions Guide

Introduction

1. **Company and role**
    - Main question:

    Can you briefly describe your company and your role?

    Probe: Size, main products, position in the steel/foundry value chain, years in current role.
2. **Materials and supplier base**
    - Main question:

    What types of steel/foundry materials do you regularly purchase, and how many main suppliers do you currently work with?

    Probe: Typical grades/volumes, direct from producers vs via traders.

1. SME Buying Process – OBB

1. **Overall buying process**
    - Main question:

    Walk me through your typical process when you need to source new steel/foundry materials.

    Probes:
        - From need identification → search → evaluation → decision → onboarding
        - Who is involved at each stage?
        - Does the process differ for more "strategic" vs more "transactional" suppliers?
2. **Finding new suppliers**
    - Main question:

    How do you usually identify potential new suppliers?

    Probes: Trade shows, recommendations, online search, partner referrals; preference for Swedish vs Nordic vs international suppliers.

3. **Evaluation criteria**
    - Main question:

    What are the top 3 criteria you use when evaluating potential or existing suppliers?

    Probes: Price, quality, delivery reliability, flexibility, service, sustainability, technical support; ask them to rank importance.
4. **Recent selection or switch**
    - Main question:

    Can you describe the last time you chose or switched to a different steel/foundry supplier? What triggered that decision?

    Probes: What alternatives were considered? What made the change easy or difficult? Any minimum requirements (certifications, financial stability, sustainability)?

2. Relationship Quality – Commitment–Trust

1. **Trust formation**
    - Main question:

    What makes you trust a steel or foundry supplier?

    Probes: Reliability, track record, personal relationships, company reputation; trust in people vs trust in the organization; building trust early in the relationship.
2. **Interaction and communication**
    - Main question:

    How important is personal rapport and communication style with supplier contacts?

    Probes: Preferred frequency, channels and type of information; examples where good or bad chemistry/communication influenced a decision.
3. **Commitment, fairness and opportunism**
    - Main question:

    Can you think of a situation where a supplier behaved particularly fairly or unfairly (for example price changes, quality problems, lack of transparency)? How did you respond?

    Probes: Perceived opportunism vs fairness; effect on your willingness to

continue the relationship; preference for fewer, deeper relationships vs a broader supplier base.

3. Perceived Risks

1. **Main risk concerns**
    - Main question:

    When you select a new or existing steel supplier, what worries you most?

    Probes: Performance and delivery, price volatility, logistics, financial stability, relational risk (will they prioritize us, share knowledge?), sustainability risk; ask them to rank their top 3.
2. **Personal and organizational risk**
    - Main question:

    Do you personally feel any risk or pressure when making supplier decisions?

    Probes: Fear of making a wrong choice, impact on production or customers, how management or colleagues might react.
3. **Sustainability and changing risk**
    - Main question:

    How have sustainability requirements and the green transition affected how you think about supplier risk?

    Probes: Carbon footprint, traceability, documentation/compliance; examples where sustainability considerations increased or reduced risk perceptions.

4. Value Drivers – Value-Based Selling

1. **Value beyond price**
    - Main question:

    Beyond price, what creates the most value for you in a steel/foundry supplier?

    Probes: Reliability, quality, delivery precision, flexibility, responsiveness, technical support, problem-solving; ask for concrete examples (e.g., downtime avoided, time or scrap reduced).
2. **Technical and problem-solving support**

- Main question:

How important is technical or metallurgical expertise from your suppliers?

Probes: Material selection advice, help with complex projects, joint problem-solving when issues arise.

3. **Logistics and service offerings**
    - Main question:

What logistics or service elements do you value most from suppliers?

Probes: Small batches, fast deliveries, inventory management, consignment stock; willingness to pay a bit more for higher flexibility or reliability.

4. **Sustainability and "soft" value**
    - Main question:

In what ways do suppliers help you meet sustainability goals and make your work easier?

Probes: Documentation and certifications vs actual performance, reduced administration, fast response, feeling that a supplier really "gets" your business; ask for an example of a supplier who stands out and what they do differently.

5. Framework Check & Trade-offs – Balancing Value and Risk

1. **Why stay with your main supplier**
    - Main question:

Thinking of your main current steel supplier, how would you summarize why you stay with them compared to possible alternatives?

Probes: Mix of value (service, reliability, expertise) and risk considerations (switching costs, uncertainty about new suppliers).

2. **Most important attribute**
    - Main question:

If you had to choose one most important attribute a supplier must have, what would it be, and why?

Probe: Does this differ between strategic and more transactional suppliers?

3. **Balancing price and non-price factors**
    - Main question:

    How do you balance price against other factors like reliability, service or sustainability when you make supplier decisions?

    Probes: Examples where you accepted a higher price for better value or lower risk; situations where price dominated despite other concerns.
4. **Future priorities**
    - Main question:

    Looking ahead 2–3 years, how do you think your priorities in supplier relationships will change?

    Probes: Sustainability, digitalisation, autonomy vs dependence, new kinds of services you expect.

Closing

1. **Open floor**
    - *Is there anything important about your relationships with steel/foundry suppliers that we haven't talked about, but that you think we should understand?*
2. **Follow-up and contacts**
    - *Would you be open to a short follow-up if we have clarifying questions later, and are there other SMEs or contacts you think we should talk to?*

    Probe: Confirm recording, anonymity and any preferences for how quotations are used.

Appendix 2 – GDPR Consent Form



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GDPR Thesis Study Consent Form

Required by European Union General Data Protection Regulation 2016/679

GDPR Consent for the Thesis Study:

Beyond Price: How Swedish Steel and Foundry SMEs Perceive Value and Risk When Selecting Suppliers

Please tick the appropriate boxes	**Yes**	**No**
Taking part in the study		
I consent to JIBS processing my personal data in accordance with current data protection legislation and the data delivered.	☐	☐
I consent voluntarily to be a participant in this study and understand that I can refuse to answer questions and I can withdraw from the study at any time, without having to give a reason.	☐	☐

My signature below indicates that I choose to take part in the thesis study and consent to JIBS treating my personal data in accordance with current data protection legislation and the data delivered.

_____ _____ _____

Name of participant [IN CAPITALS] Signature Date

Contact details for further information

[Name, phone number, email address]

Version: January 2020



JÖNKÖPING UNIVERSITY
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Participant Information Sheet template

Invitation paragraph

Thank you for offering your insights for this thesis study. We believe that it is important for you to understand why the research is being done and what it will involve. Please take time to read the following information carefully.

What is the purpose of the study collecting personal data?

This is a Master's thesis study in Business Administration conducted within the Global Management programme at Jönköping International Business School (JIBS), Jönköping University, by Karam Houshan and Tijn Van Staalduinen, under the supervision of Prof. Karin Hellerstedt.

The purpose of this study is to explore how small and medium-sized enterprises (SMEs) in the Swedish steel and foundry industry perceive, evaluate and select their suppliers, with particular focus on their value drivers, expectations and perceived risks in buyer–supplier relationships. Your participation will contribute to academic knowledge in the fields of B2B relationship marketing and organizational buying behaviour, and will support student learning through the application of qualitative research methodology.

Your contribution will take the form of a semi-structured interview. The interview will be conducted either through a phone call or via video call, at a time convenient to you. With your permission, the interview will be audio-recorded and transcribed for analysis purposes. The data collection phase of this study runs during spring 2026. All recordings, data and transcripts will be deleted upon completion of the thesis study.

It is entirely up to you to decide whether to take part. If you decide to do so, you will be given this information sheet to keep and will be asked to give your consent. *All the information that we collect about you during the course of the research will be kept strictly confidential. You will not be able to be identified in any ensuing reports or publications.*

*Under **GDPR** you have the following rights over your personal data:*

- ***The right to be informed**. You must be informed if your personal data is being used.*
- ***The right of access**. You can ask for a copy of your data by making a 'subject access request'.*
- ***The right to rectification.** You can ask for your data held to be corrected.*
- ***The right to erasure**. You can ask for your data to be deleted.*
- ***The right to restrict processing**. You can limit the way an organisation uses your personal data if you are concerned about the accuracy of the data or how it is being used.*
- ***The right to data portability**. You have the right to get your personal data from an organisation in a way that is accessible and machine-readable. You also have the right to ask an organisation to transfer your data to another organisation.*

- ***The right to object***. *You have the right to object to the use of your personal data in some circumstances. You have an absolute right to object to an organisation using your data for direct marketing.*
- ***How your data is processed using automated decision making and profiling***. *You have the right not to be subject to a decision that is based solely on automated processing if the decision affects your legal rights or other equally important matters; to understand the reasons behind decisions made about you by automated processing and the possible consequences of the decisions, and to object to profiling in certain situations, including for direct marketing purposes.*

You should also know that you may contact the data protection officer if you are unhappy about the way your data or your participation in this study are being treated at dpo@ju.se

Thank you for reading this information sheet and for considering whether to take part in this research study.

Contact details for further information

Thesis supervisor - Karin Hellerstedt

E-mail ***karin.hellerstedt@ju.se***

Thesis student - Karam Houshan

E-mail. ***hoka20la*****@student.ju.se**

Thesis student - Tijn Johannes Edmond Junior van Staalduinen

E-mail. **Vati24jb@student.ju.se**

Appendix 3 – Declaration

DECLARATION

We hereby declare that this thesis represents our own work.

We declare that we have obtained the necessary ethical approval (e.g., GDPR) and acknowledged our obligations and the rights of the participants/respondents in the research.

We have read and applied the Jönköping University's current research ethics guidelines with regards to the use of artificial intelligence (AI) tool in this work as presented in the Course Guide. During the preparation of this work the authors used the following AI tools and the purpose for their use:

DeepL was used for the initial translation of interview transcripts. **Perplexity** was used during the initial project brainstorming phase, for summarizing academic literature to support the authors' understanding of relevant concepts, for preliminary literature screening, and for language refinement, including grammar, wording, and improving textual coherence. **NVivo** was used to support data coding and the identification of themes during the qualitative analysis process.

As authors, we have reviewed and edited the content as needed and take full responsibility for the content of the thesis.

Signature: 

Date: ___24/5/2026_____

Signature: 

Date: ___24/5/2026_____